

CONFIDENTIAL



ENCAP INVESTMENTS L.P.

ENCAP ENERGY CAPITAL FUND XII, L.P.

DUE DILIGENCE INFORMATION

FEBRUARY 2023

DISCLAIMER

THIS DUE DILIGENCE QUESTIONNAIRE (THE “**DDQ**”) HAS BEEN PREPARED SOLELY FOR INFORMATIONAL PURPOSES FOR, AND IS BEING DELIVERED ON A CONFIDENTIAL BASIS TO, PROSPECTIVE INVESTORS CONSIDERING THE PURCHASE OF LIMITED PARTNERSHIP INTERESTS (THE “**INTERESTS**”) IN ENCAP ENERGY CAPITAL FUND XII (“**FUND XII**” OR THE “**PARTNERSHIP**”). ANY REPRODUCTION OR DISTRIBUTION OF THE DDQ, IN WHOLE OR IN PART, OR THE DISCLOSURE OF ITS CONTENTS, WITHOUT THE PRIOR WRITTEN CONSENT OF ENCAP EQUITY FUND XII GP, L.P. (THE “**GENERAL PARTNER**”), THE GENERAL PARTNER OF THE PARTNERSHIP, IS PROHIBITED. BY RECEIVING THE DDQ, EACH PROSPECTIVE INVESTOR AGREES TO THE FOREGOING.

EACH PROSPECTIVE INVESTOR SHOULD MAKE ITS OWN INVESTIGATION OF THE INVESTMENT DESCRIBED HEREIN, INCLUDING THE MERITS AND RISKS INVOLVED AND THE LEGALITY AND TAX CONSEQUENCES OF SUCH AN INVESTMENT. THE INFORMATION CONTAINED HEREIN DOES NOT SET FORTH ALL OF THE TERMS, CONDITIONS AND RISKS OF FUND XII. EACH PROSPECTIVE INVESTOR SHOULD READ THE CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM, DATED AS OF JANUARY 4, 2023 (AS FURTHER SUPPLEMENTED, THE “**MEMORANDUM**”), AND MAKE ITS OWN INQUIRIES AND CONSULT ITS ADVISORS AS TO THE PARTNERSHIP, THE OFFERING OF INTERESTS, AND THE LEGAL, TAX AND RELATED MATTERS CONCERNING AN INVESTMENT IN THE INTERESTS. PROSPECTIVE INVESTORS SHOULD NOTE IN PARTICULAR THE CONSIDERATIONS SET OUT UNDER “RISK FACTORS” IN THE MEMORANDUM.

NEITHER THE PARTNERSHIP NOR THE GENERAL PARTNER IS MAKING ANY REPRESENTATION OR WARRANTY TO AN INVESTOR REGARDING THE LEGALITY OF AN INVESTMENT IN THE PARTNERSHIP BY SUCH INVESTOR OR ABOUT THE INCOME AND OTHER TAX CONSEQUENCES TO THEM OF SUCH AN INVESTMENT.

THE INTERESTS OFFERED HEREBY HAVE NOT BEEN APPROVED OR DISAPPROVED BY ANY SECURITIES REGULATORY AUTHORITY OF ANY STATE OR BY THE UNITED STATES SECURITIES AND EXCHANGE COMMISSION, NOR HAS ANY SUCH AUTHORITY OR COMMISSION PASSED ON THE ACCURACY OR ADEQUACY OF THE DDQ. THE INTERESTS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED (THE “**SECURITIES ACT**”), ANY STATE SECURITIES LAWS, OR THE LAWS OF ANY FOREIGN JURISDICTION. THE INTERESTS WILL BE OFFERED AND SOLD UNDER THE EXEMPTION PROVIDED BY SECTION 4(A)(2) OF THE SECURITIES ACT AND REGULATION D PROMULGATED THEREUNDER AND OTHER EXEMPTIONS OF SIMILAR IMPORT IN THE LAWS OF THE STATES AND OTHER JURISDICTIONS WHERE THE OFFERING WILL BE MADE. THE PARTNERSHIP WILL NOT BE REGISTERED AS AN INVESTMENT COMPANY UNDER THE INVESTMENT COMPANY ACT OF 1940, AS AMENDED (THE “**INVESTMENT COMPANY ACT**”). CONSEQUENTLY, INVESTORS WILL NOT BE AFFORDED THE PROTECTIONS OF THE INVESTMENT COMPANY ACT. THE PARTNERSHIP IS CURRENTLY PURSUING A VENTURE CAPITAL STRATEGY AND RELYING ON THE “VENTURE CAPITAL EXEMPTION,” AND AS A RESULT THE GENERAL PARTNER HAS NOT REGISTERED AS AN INVESTMENT ADVISER UNDER THE INVESTMENT ADVISERS ACT OF 1940 (THE “**ADVISERS ACT**”). HOWEVER, AN AFFILIATE OF THE GENERAL PARTNER

MAY IN THE FUTURE REGISTER AS AN INVESTMENT ADVISER. CONSEQUENTLY, INVESTORS WILL NOT BE AFFORDED ALL OF THE PROTECTIONS OF THE ADVISERS ACT UNLESS AND UNTIL SUCH REGISTRATION OCCURS.

THE INTERESTS ARE SUBJECT TO RESTRICTIONS ON TRANSFERABILITY AND RESALE AND MAY NOT BE TRANSFERRED OR RESOLD EXCEPT AS PERMITTED UNDER THE SECURITIES ACT AND THE APPLICABLE STATE SECURITIES LAWS PURSUANT TO REGISTRATION OR EXEMPTION THEREFROM. IN ADDITION, SUCH INTERESTS MAY NOT BE SOLD, TRANSFERRED, ASSIGNED OR HYPOTHECATED, IN WHOLE OR IN PART, EXCEPT AS PROVIDED IN THE LIMITED PARTNERSHIP AGREEMENTS REFERRED TO HEREIN. ACCORDINGLY, INVESTORS SHOULD BE AWARE THAT THEY WILL BE REQUIRED TO BEAR THE FINANCIAL RISKS OF AN INVESTMENT IN THE INTERESTS FOR AN INDEFINITE PERIOD OF TIME. THERE WILL BE NO PUBLIC MARKET FOR THE INTERESTS, AND THERE IS NO OBLIGATION ON THE PART OF ANY PERSON TO REGISTER THE INTERESTS UNDER THE SECURITIES ACT, ANY STATE SECURITIES LAWS OR THE LAWS OF ANY FOREIGN JURISDICTION.

THE INTERESTS ARE OFFERED SUBJECT TO PRIOR SALE, AND SUBJECT TO THE RIGHT OF THE GENERAL PARTNER TO REJECT ANY SUBSCRIPTION IN WHOLE OR IN PART. IN CONSIDERING THE PRIOR PERFORMANCE INFORMATION CONTAINED HEREIN, PROSPECTIVE INVESTORS SHOULD BEAR IN MIND THAT PAST PERFORMANCE IS NOT NECESSARILY INDICATIVE OF FUTURE RESULTS, AND THERE CAN BE NO ASSURANCE THAT THE PARTNERSHIP WILL ACHIEVE COMPARABLE RESULTS.

THE DDQ IS QUALIFIED IN ITS ENTIRETY BY, AND IS SUBJECT TO, THE INFORMATION CONTAINED IN THE MEMORANDUM. IN THE EVENT OF ANY INCONSISTENCY BETWEEN THE DDQ AND THE MEMORANDUM, THE MEMORANDUM PREVAILS IN ALL RESPECTS. THE DDQ DOES NOT CONSTITUTE OR FORM PART OF AN OFFER OR INVITATION TO SELL OR ISSUE, OR SOLICITATION OF AN OFFER TO PURCHASE OR SUBSCRIBE FOR, ANY INTERESTS. NO PART OF THE DDQ SHALL FORM THE BASIS OF OR BE RELIED ON IN CONNECTION WITH ANY SUBSCRIPTION FOR ANY INTEREST. ANY OFFER TO PURCHASE OR BUY INTERESTS WILL BE MADE ONLY PURSUANT TO THE MEMORANDUM AND THE SUBSCRIPTION AGREEMENT. THE DDQ IS QUALIFIED IN ITS ENTIRETY BY REFERENCE TO THE LIMITED PARTNERSHIP AGREEMENTS OF THE PARTNERSHIP AND THE SUBSCRIPTION AGREEMENT RELATED THERETO. STATEMENTS IN THE DDQ ARE MADE AS OF THE DATE HEREOF UNLESS STATED OTHERWISE HEREIN, AND NEITHER THE DELIVERY OF THE DDQ AT ANY TIME NOR THE SALE OF INTERESTS AT ANY TIME SHALL UNDER ANY CIRCUMSTANCES CREATE AN IMPLICATION THAT THE INFORMATION CONTAINED HEREIN IS CORRECT AS OF ANY TIME SUBSEQUENT TO SUCH DATE.

THE DDQ IS NOT INTENDED TO BE USED IN CONNECTION WITH AN OFFER OR SOLICITATION IN ANY STATE OR OTHER JURISDICTION TO ANY PERSON OR ENTITY TO WHICH IT IS UNLAWFUL TO MAKE SUCH OFFER OR SOLICITATION. PRIOR TO THE FINAL CLOSING OF THE PARTNERSHIP, THE GENERAL PARTNER OF THE PARTNERSHIP AND ITS AFFILIATES RESERVE THE RIGHT TO MODIFY ANY OF THE TERMS OF THE OFFERING AND THE INTERESTS DESCRIBED HEREIN. FURTHERMORE, THESE INTERESTS ARE NOT BEING MARKETING IN ANY EUROPEAN UNION COUNTRY; IN THOSE COUNTRIES, THE DDQ IS ONLY BEING FURNISHED TO

POTENTIAL INVESTORS WITH A PRE-EXISTING RELATIONSHIP WITH ENCAP INVESTMENTS L.P. (“ENCAP” OR THE “FIRM”) THAT HAVE CONTACTED ENCAP THROUGH THEIR OWN INITIATIVE SPECIFICALLY REQUESTING INFORMATION REGARDING POTENTIAL INVESTMENTS SPONSORED BY ENCAP.

CERTAIN INFORMATION CONTAINED HEREIN CONCERNING ECONOMIC TRENDS AND PERFORMANCE IS BASED ON OR DERIVED FROM INFORMATION PROVIDED BY INDEPENDENT THIRD-PARTY SOURCES. THE PARTNERSHIP BELIEVES THAT SUCH INFORMATION IS ACCURATE AND THAT THE SOURCES FROM WHICH IT HAS BEEN OBTAINED ARE RELIABLE. THE PARTNERSHIP CANNOT GUARANTEE THE ACCURACY OF SUCH INFORMATION, HOWEVER, AND HAS NOT INDEPENDENTLY VERIFIED THE ASSUMPTIONS ON WHICH SUCH INFORMATION IS BASED.

REFERENCES TO INTERNAL RATES OF RETURN (“IRR”) AND RETURN ON INVESTMENT (“ROI”) OF INDIVIDUAL INVESTMENTS ARE PRESENTED ON A “GROSS” BASIS AND DO NOT REFLECT THE MANAGEMENT FEES, ALLOCABLE FUND EXPENSES, CARRIED INTEREST, AND TAXES BORNE, OR WHICH MAY BE BORNE, BY INVESTORS IN THE PARTNERSHIP OR THE RESPECTIVE PREDECESSOR FUND. IRR REPRESENTS THE AGGREGATE COMPOUND ANNUALIZED RETURN RATE (IMPLIED DISCOUNT RATE), WHICH HAS BEEN CALCULATED USING ALL CASH INFLOWS, CASH OUTFLOWS, AND ESTIMATED VALUATIONS BY THE GENERAL PARTNER OR THE PUBLIC VALUE OF PUBLICLY-TRADED SECURITIES, UNLESS OTHERWISE INDICATED. THERE CAN BE NO ASSURANCE THAT UNREALIZED INVESTMENTS WILL BE REALIZED AT THE VALUATIONS REFLECTED HEREIN. ULTIMATE RETURNS WILL DEPEND ON THE VALUE OF EACH INVESTMENT AND MAY VARY SIGNIFICANTLY FROM THE RETURNS PRESENTED HEREIN. NET IRRS AND NET ROIS HAVE BEEN CALCULATED AFTER ALL MANAGEMENT FEES, CARRIED INTEREST, AND OTHER ALLOCABLE EXPENSES (OTHER THAN TAXES BORNE OR WHICH MAY BE BORNE BY INVESTORS).

ANY DISCUSSION REGARDING TAXATION CONTAINED IN THE DDQ IS NOT INTENDED OR WRITTEN TO BE USED BY ANY PROSPECTIVE INVESTOR TO AVOID PENALTIES THAT MAY BE IMPOSED UNDER UNITED STATES FEDERAL TAX LAWS. EACH PROSPECTIVE INVESTOR SHOULD SEEK ADVICE REGARDING THE TAX IMPLICATIONS OF AN INVESTMENT IN THE INTERESTS FROM AN INDEPENDENT TAX ADVISOR. NOTWITHSTANDING ANYTHING ELSE CONTAINED IN THE DDQ OR THE MEMORANDUM, EACH PROSPECTIVE INVESTOR MAY DISCLOSE, WITHOUT LIMITATION, THE TAX TREATMENT AND TAX STRUCTURE OF FUND XII AND OF ANY TRANSACTIONS ENTERED INTO BY FUND XII (IN EACH CASE AS SUCH TERMS ARE USED IN SECTION 6011 OF THE INTERNAL REVENUE CODE OF 1986, AS AMENDED, AND THE TREASURY REGULATIONS PROMULGATED THEREUNDER). NOTHING IN THIS AUTHORIZATION, HOWEVER, IS INTENDED TO PERMIT DISCLOSURE OF ANY TERM OR DETAIL NOT RELEVANT TO THE TAX TREATMENT OR THE TAX STRUCTURE OF FUND XII OR OF THE TRANSACTIONS TO BE ENTERED INTO BY FUND XII.

CERTAIN INFORMATION CONTAINED IN THE DDQ INCLUDES FORWARD-LOOKING STATEMENTS. FORWARD-LOOKING STATEMENTS, WHICH INVOLVE ASSUMPTIONS AND DESCRIBE FUTURE PLANS, STRATEGIES AND EXPECTATIONS OF ENCAP OR THE MANAGEMENT OF THE GENERAL PARTNER, ARE GENERALLY IDENTIFIABLE BY USE OF THE WORDS “WILL,” “SHALL,” “MAY,” “SHOULD,” “EXPECT,” “ANTICIPATE,” “ESTIMATE,” “BELIEVE,” “INTEND,” “PLAN,” OR

“PROJECT” OR THE NEGATIVE OF THESE WORDS OR OTHER VARIATIONS OF THESE WORDS OR COMPARABLE TERMINOLOGY. ACTUAL RESULTS, PERFORMANCE, LIQUIDITY, FINANCIAL CONDITION, PROSPECTS AND OPPORTUNITIES MAY DIFFER MATERIALLY FROM THOSE EXPRESSED IN, OR IMPLIED BY, THESE FORWARD-LOOKING STATEMENTS AS A RESULT OF VARIOUS RISKS, UNCERTAINTIES AND OTHER FACTORS. IN LIGHT OF THESE RISKS AND UNCERTAINTIES, THERE CAN BE NO ASSURANCE THAT THE FORWARD-LOOKING STATEMENTS CONTAINED IN THE DDQ WILL IN FACT OCCUR. PROSPECTIVE INVESTORS SHOULD NOT PLACE UNDUE RELIANCE ON ANY FORWARD-LOOKING STATEMENTS. EXCEPT AS EXPRESSLY REQUIRED BY THE FEDERAL OR OTHER APPLICABLE SECURITIES LAWS, THERE IS NO UNDERTAKING TO UPDATE OR REVISE ANY FORWARD-LOOKING STATEMENTS, WHETHER AS A RESULT OF NEW INFORMATION, FUTURE EVENTS, CHANGED CIRCUMSTANCES OR ANY OTHER REASON.

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Items Available on the Intralinks Data Site

1. Private Placement Memorandum
2. Fund XII Pitchbook
3. Annual Investor Conference Materials
4. Controls and Procedures Manual
5. Employee Handbook
6. Compliance Manual
7. Environmental, Social, and Corporate Governance (ESG) Policy
8. System and Disaster Recovery Overviews
9. Form ADV
10. Fund XII Structure Chart
11. Gross and Net Cash Flow Model
12. Audited Financials for EnCap Energy Capital Funds VII, VIII, IX, X, and XI
13. Quarterly Reports for EnCap Energy Capital Funds VII, VIII, IX, X, and XI

I. Due Diligence Questionnaire

A. General Partner and Management Team

1) Full legal name and address of the fund and the general partner.

EnCap Energy Capital Fund XII, L.P. (“**Fund XII**” or the “**Partnership**”) is a Delaware limited partnership. EnCap Equity Fund XII GP, L.P., a Delaware limited partnership (the “**General Partner**”), will be the sole general partner of the Partnership.

A wholly owned subsidiary of EnCap Investments L.P., a Delaware limited partnership (“**EnCap**” or the “**Firm**”), will be the sole general partner of the General Partner, and EnCap and/or one or more affiliates thereof will be the limited partner(s) of the General Partner. EnCap’s day-to-day operations are led by two Managing Partners, Jason M. DeLorenzo and Douglas E. Swanson, Jr. (the “**Managing Partners**”), with support from Partners Kyle M. Kafka and Brad A. Thielemann. Charles W. Bauer is also a Partner and leads EnCap’s Investor Relations efforts. The Firm’s four Founders, David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich continue to be active in an advisory role and also maintain an ownership position in EnCap (the Managing Partners, Partners, and Founders, together, the “**EnCap Principals**”).

EnCap maintains offices at 9651 Katy Freeway, Suite 600, Houston, TX 77024, telephone: (713) 659-6100.

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2) Target size of the fund.

The target size of Fund XII is \$4.0 billion.

3) Provide a capsule history of the firm.

Founded in 1988, EnCap is a leading provider of growth equity to the independent sector of the energy industry. Over its 34-year history in energy investing, the Firm has generated strong and consistent returns by applying a disciplined philosophy that balances capital preservation and value creation.

EnCap’s day-to-day operations are led by two Managing Partners, Jason M. DeLorenzo and Douglas E. Swanson, Jr., with support from Partners Kyle M. Kafka and Brad A. Thielemann.

Charles W. Bauer is also a Partner and leads EnCap's Investor Relations efforts. The Firm's four Founders, David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich continue to be active in an advisory role and also maintain an ownership position in EnCap. The EnCap Principals have an average of 33 years of industry-related experience including an average 25-year tenure at EnCap. In addition to the EnCap Principals, EnCap has a strong and stable bench of highly qualified investment professionals and support staff, including 10 professionals on the upstream (each, an "**Investment Professional**" and collectively, the "**Investment Staff**"), three professionals on EnCap's in-house Technical Team, two professionals in Investor Relations in addition to Mr. Bauer, a professional who spearheads all environmental, social, and corporate governance ("**ESG**") efforts for EnCap, and a 21-person fund administration staff, which includes 11 certified public accountants. The Firm also plans to hire an additional reservoir engineer in early 2023 to supplement the Technical Team. The Firm believes the depth, experience, and continuity of its organization are among the key characteristics that distinguish EnCap in the energy investment space.

Since its inception, EnCap has managed approximately \$39.0 billion[†] of capital commitments across 22 institutional funds. The Firm's first six funds, raised between 1988 and 1993, consisted of three reserve acquisition funds and three mezzanine debt funds. In 1994, EnCap transitioned its model to providing growth equity primarily to the upstream industry with the belief that this strategy offered a more attractive risk/return proposition and better alignment between EnCap and its portfolio company management teams. Since that time, the Firm has raised 11 upstream growth-oriented equity funds ("**EnCap Upstream Funds**") totaling approximately \$28.5 billion[†] in capital commitments before the formulation of Fund XII.

In 2008, EnCap expanded its investment platform to include funds focused exclusively on investments in the midstream sector of the energy industry. As an integral part of this expansion, the Firm partnered with Flatrock Energy Advisors, LLC ("**Flatrock**"), whose principals have extensive midstream expertise and industry relationships. Since 2008, EnCap Flatrock Midstream ("**EFM**") has raised approximately \$9.0 billion[†] of capital commitments across four growth equity funds dedicated to this strategy.

In 2019, in response to the significant expansion of economic investment opportunities in the energy transition space, the Firm recognized a need to have a focused effort on this opportunity set. As a result, EnCap retained a highly regarded industry team to manage a newly formed EnCap Energy Transition Fund platform ("**EETF**"). EETF focuses on providing growth equity to start-ups or early-stage companies investing in opportunities created by the global transition to a lower-carbon energy system. EnCap's first EETF fund closed in April 2021 with approximately \$1.2 billion[†] of capital commitments. With the track records and deep industry expertise across EnCap's three platforms, the Firm believes it is uniquely positioned as a leading investor across the energy value chain.

As of September 30, 2022, the EnCap Upstream Funds have invested approximately \$26.3 billion in 205 different companies. A total of 171 investments representing approximately \$13.9 billion of invested capital have been realized or substantially realized, resulting in approximately \$25.1 billion of value (including realized proceeds and unrealized value). These realized and substantially realized investments have generated a 1.8x gross ROI and 26.8% gross IRR and a 1.5x net ROI and 18.7% net IRR. The unrealized investments consist of 34 entities, largely within

[†] Includes main funds, parallel funds, and co-investment pools of capital raised concurrent with respective fundraises. Does not include managed co-investment vehicles or other pools of capital raised outside of the respective fundraises.

Funds IX, X, and XI, which comprise approximately \$12.4 billion of total invested capital. EnCap believes the unrealized portfolio is well positioned with healthy cash flowing businesses, compelling economic development opportunities, and top-tier industry talent leading the Firm's portfolio companies. Overall, total portfolio investments for the EnCap Upstream Funds represent a 1.8x gross ROI and 22.1% gross IRR and a 1.5x net ROI and 14.9% net IRR.

EnCap believes its track record reflects the Firm's successful and consistent ability to adapt to changing market dynamics and allocate capital to economically attractive investment opportunities. Furthermore, EnCap believes its demonstrated ability to attract high quality management teams and the resulting success achieved with these teams validates the strength and continued viability of the Firm's investment model.

Please see Section V – “Performance Metric & Valuation Disclosures” for important disclosures regarding historical and target performance. Past performance is not indicative of future results. There can be no assurances that Fund XII will achieve its investment objective or avoid a loss of all or a portion of its capital. Market conditions and legal and contractual restrictions may limit the liquidity of investments. Accordingly, actual realized return on investment may differ materially from the values indicated herein.

4) Describe the ownership structure of the General Partner entity.

EnCap Equity Fund XII GP, L.P., a Delaware limited partnership will be the General Partner of the Partnership. The sole general partner of the General Partner will be a Delaware limited liability company wholly owned by EnCap, and the limited partner(s) of the General Partner will be EnCap and/or one or more affiliates thereof.

EnCap's day-to-day operations are led by two Managing Partners, Jason M. DeLorenzo and Douglas E. Swanson, Jr., with support from Partners Kyle M. Kafka and Brad A. Thielemann. Charles W. Bauer is also a Partner and leads EnCap's Investor Relations efforts. The Firm's four Founders, David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich continue to be active in an advisory role and also maintain an ownership position in EnCap. The EnCap Principals have an average of 33 years of industry-related experience including an average 25-year tenure at EnCap.

In December 2015, the Founders and Managing Partners reached a definitive agreement to sell up to 25% of EnCap's interest in its funds to Dyal Capital Partners III (“**Dyal III**”). Dyal III is an affiliate of Blue Owl Capital Inc. (“**Blue Owl**”) and Neuberger Berman Group LLC (“**Neuberger Berman**”), and has a focus on acquiring strategic minority interests in financial firms. Dyal III, Blue Owl, and Neuberger Berman do not have the right to direct the operations of EnCap or any of the funds it controls, including any institutional oil and gas fund, midstream fund, or energy transition fund (the “**EnCap Funds**”).

Among the EnCap Principals, Messrs. DeLorenzo and Swanson currently own a controlling 41.5% interest, the Partners (Kafka, Thielemann and Bauer) own a collective 16.5% interest and the Founders own a collective 17.0% interest in the ultimate parent entity of EnCap. Members of EnCap's staff also receive a portion of EnCap's carried interest from its funds through incentive awards, as further discussed in question 13.

5) Provide the names, biographies and an organizational chart of EnCap.

Please refer to Section II – “Fund Management and Administration” for an organizational chart of the EnCap professionals and biographies of the full EnCap team.

6) **Provide references for the firm.**

Please refer to Section IV – “References”.

7) **Discuss prior investment activities in which the General Partner’s key partners have worked together.**

EnCap believes that one of its strengths is the cohesiveness of its management team. EnCap’s day-to-day operations are led by two Managing Partners, Jason M. DeLorenzo and Douglas E. Swanson, Jr., with support from Partners Kyle M. Kafka and Brad A. Thielemann. Messrs. DeLorenzo and Swanson have over 26 years of industry experience and have both been at EnCap for 23 years. Kafka and Thielemann have 18 and 21 years of industry experience and 16 and 18 years with EnCap, respectively. Mr. Bauer has 18 years of experience and over 13 years of experience in his role leading Investor Relations at EnCap.

The Firm’s four Founders, David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich continue to be active in an advisory role with the Firm and also maintain an ownership position in EnCap. The Founders have worked together for over 37 years, predating EnCap’s formation in 1988.

8) **Discuss the percentage of time each of the Managing Partners and Investment Professionals will devote to Fund XII.**

The Managing Partners and Investment Professionals will devote substantially all of their professional time to Fund XII with the exception of managing other EnCap funds. The Managing Partners also serve on the board of managers of the ultimate general partner of EFM Funds II – V and EETF I & II and will devote such time as is reasonably necessary to fulfill their duties in such capacities. The day-to-day operations of both EFM and EETF are managed by separate investment teams and the time involvement of the EnCap Managing Partners relative to EFM and EETF will not affect their ability to fulfill their duties to Fund XII.

With respect to the EnCap upstream funds with unrealized portfolio investments, as of September 30, 2022, EnCap Energy Capital Fund VIII, L.P. (“**Fund VIII**”) is fully committed and approximately 100% invested (including fund expenses and callable capital) with two of the 23 portfolio companies still active. EnCap Energy Capital Fund IX, L.P. (“**Fund IX**”) is fully committed and approximately 95% invested (including fund expenses and callable capital) with seven of the 21 portfolio companies still active. EnCap Energy Capital Fund X, L.P. (“**Fund X**”) is fully committed and approximately 93% invested (including fund expenses and callable capital) with 13 of the 25 portfolio companies still active. EnCap Energy Capital Fund XI, L.P. (“**Fund XI**”) is approximately 74% invested (including fund expenses and callable capital) with 18 of the 22 portfolio companies still active. The Managing Partners’ and Investment Professionals’ time commitment to Funds VIII, IX, X, and XI will diminish over time. As of September 30, 2022, EnCap has 18 companies with active upstream operations and three active mineral entities, a smaller number of managed companies relative to past cycles due to more consolidation in the portfolio. As new teams are added to Fund XII, the Firm expects a significant number of “repeat teams” resulting from monetizations of portfolio companies from prior EnCap Funds. As such, the Firm would expect the overall number of active teams to remain relatively consistent.

9) **Discuss the duties of EnCap’s technical team.**

Beginning in 2015, EnCap built out an internal technical team (the “**Technical Team**”) as a way to enhance the Firm’s investment decision-making process with current and prospective

investments. The Technical Team is led by Jerry Smith, who began his career as a reservoir engineer at ExxonMobil and most recently led Evercore's technical efforts in Houston. EnCap's Technical Team includes two reservoir engineers (including Jerry Smith) and a geologist, all with prior upstream technical and operating experience across various North American basins. The Firm also plans to hire an additional reservoir engineer in early 2023 to supplement the Technical Team.

The Technical Team works closely with the Investment Staff to evaluate new opportunities and actively monitor asset performance for EnCap portfolio companies and third-party operators. The Technical Team also has routine dialogue with the technical professionals at EnCap's portfolio companies to help refine and optimize development plans based on real-time data. EnCap, as a leading equity provider in the upstream space for multiple decades and currently one of the most active operators in the United States, has access to an expansive and proprietary dataset of well production, geologic interpretations, and operational practices across all relevant resource plays in North America. The Technical Team uses its own in-house, proprietary software to integrate and efficiently evaluate this data to help inform decision making at the Firm and portfolio company level. EnCap believes the Technical Team's expertise and the critical role it plays within the EnCap ecosystem provide a leading in-house edge versus most industry operators and capital sponsors. The Technical Team consists of the following individuals:

Name	Title	Role	Previous Experience
Jerry W. Smith	Managing Director	Team Lead	Evercore, Citation, ExxonMobil
Mitchell D. Hovendick	Director	Engineering	Phillips Petroleum Company
Taylor A. McCay	Director	Geology	Gastar, DrillingInfo
Reservoir Engineer	[to be hired]	Engineering	[TBD]

10) Discuss the composition and approval process of the EnCap Upstream Investment Committee.

EnCap's Upstream Investment Committee (the "Upstream Investment Committee") is comprised of the Managing Partners, two Partners (Messrs. Kafka and Thielemann), and David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich (the "Senior Advisors"). Approval of all matters required by the Upstream Investment Committee is achieved by vote in proportion to ownership interest in EnCap.

11) How much capital will the General Partner or its affiliates commit to the fund?

Affiliates of the General Partner will make an aggregate capital commitment to Fund XII ("Commitment") at least equal to 3.0% of aggregate Commitments. The Senior Advisors will separately make aggregate Commitments of at least \$17.75 million.

12) Describe the policies regarding the General Partners' and/or other employees' personal investments in portfolio companies.

No member of the EnCap team will invest individually in any Fund XII portfolio company other than personal investments made via a direct investment in Fund XII.

13) How do you provide incentives to the staff? Do any employees other than the Founders share in the carried interest? Describe the vesting schedule for carried interest.

EnCap seeks to incentivize key employees by granting them a portion of the carried interest of EnCap Funds as well as providing competitive salary and bonus compensation packages. The

allocation of carried interest units across the organization has been a consistent theme through the history of EnCap and the percentage of the carry allocated to EnCap's staff (outside of the Managing Partners, Partners, and Senior Advisors) has grown over time in an effort to promote stability, provide financial incentives, and recognize increased contributions. EnCap believes that by allocating carry to employees, the Firm will continue to attract and retain some of the most talented professionals in the industry. All carried interest granted to employees has a time vesting component in order to promote alignment and retention.

14) Are there any plans to hire additional staff?

The Managing Partners believe that EnCap is appropriately staffed to execute its investment strategy for Fund XII. In the near-term, EnCap plans to hire an additional reservoir engineer in early 2023 to supplement the Technical Team. The Firm will continue to hire additional staff at the junior investment professional level as it has in the past and promote from within.

15) Discuss the turnover among senior investment professionals over the last five years.

In July 2020, EnCap reorganized the upstream Investment Staff to best position the Firm for the future. This reorganization helped to streamline the investment decision-making process by reducing the overall number of employees and consolidating all Investment Staff in Houston. This difficult decision led to the reduction of two Partners (Jimmy Crain and Mark Welsh) and five members of the Investment Staff who were based in the Dallas office.

In general, EnCap believes that one of its strengths is the stability and cohesiveness of its management team. Please refer to Section II – "Fund Management and Administration" for further detail on the history and tenure of EnCap's Managing Partners and Partners.

16) What is the function of the LPAC? Discuss the composition of the LPAC including number of members and selection criteria.

The principal functions of the advisory board of Fund XII (the "LPAC") include:

- (i) resolving conflicts of interest or potential conflicts of interest;
- (ii) approving the determination of the market value of any non-cash properties (other than freely tradable securities) distributed to Fund XII's partners; and
- (iii) determining whether to provide consent to certain other actions proposed by the General Partner, as further described in the governing documents of Fund XII.

The Fund XII LPAC shall consist of at least five individuals and no more than eleven individuals representing limited partners of Fund XII (the "**Limited Partners**"), selected by EnCap and will not include representatives of Limited Partners that are affiliates of EnCap. In selecting the LPAC members, EnCap will consider a number of factors, including the size of the Limited Partner's Commitment to Fund XII, as well as the Limited Partner's interest in having a representative on the LPAC.

No single Limited Partner can have more than one representative on the LPAC. The initial members of the Fund XII LPAC will be selected by EnCap as promptly as practicable after the first closing, and each member will serve until his or her resignation or removal.

Any action to be taken by the LPAC shall be authorized by a majority of its members then holding office, exclusive of any member abstaining or recusing himself or herself from a vote on such action. Approval by the LPAC of any investment in an issuer in which the General Partner or an affiliate owns a material amount of securities shall constitute the approval of Fund XII and the

Limited Partners.

The composition of the Fund XI LPAC can be provided upon request.

17) Provide examples of investor reporting.

Fund XII will furnish audited financial statements annually and unaudited financial statements quarterly to all Limited Partners. In addition, Fund XII will hold annual meetings at which it will offer the Limited Partners the opportunity to review and discuss Fund XII's investment activities. The EnCap Principals will also make themselves available to Limited Partners during the year as necessary. A sample quarterly reporting package is provided on the IntraLinks site.

18) Describe the valuation policy in financial reports.

In accordance with industry standards for valuing oil and gas properties, EnCap values oil and gas property interests using a risk-adjusted discounted cash flow model. This methodology aggregates all future cash flows attributable to EnCap's ownership in the property or company to be generated from the production of proved oil and gas reserves, as estimated by an independent, third-party engineering firm in a Reserve Report (as defined below), and discounts them using a weighted average cost of capital (typically, 10%) to yield a present value, assuming unescalated oil and gas prices based on the period end NYMEX quoted strip prices. Prior to discounting the future cash flows, PDNP (as defined below) cash flows are generally risk-adjusted by 20%, and PUD (as defined below) cash flows are generally risk-adjusted by 40%; PDP (as defined below) cash flows are generally unrisks. Oil and gas reserves may be further adjusted to values supported by recent public or private transactions of similar oil and gas properties. Unproved acreage and other assets and liabilities are valued at recent public or private transactions of similar assets. Mineral interests are valued using combination of precedent transactions, discounted cash flows, and a cash flow multiple approach, taking into consideration market and asset specific factors including life cycle or maturity of the asset, projected growth profile, precedent transactions, and comparable public market trading multiples. Publicly quoted securities are valued based on the quoted period-end closing price. Debt or equity securities that are freely tradable on a recognized investment exchange (or convertible thereto) are valued at the last reported sales price for the security as of the valuation date. Preferred equity investments are generally valued using the "if converted" method. However, if the underlying security is trading below the applicable conversion price, the valuation is held at such conversion price.

As used above:

Proved Developed Non-Producing Reserves or "**PDNP**" means proved developed reserves that can be expected to be recovered from zones behind casing in existing wells, or from zones that are shut-in for market conditions, pipeline connections or mechanical reasons, and are capable of production, but the timing is uncertain.

Proved Developed Producing Reserves or "**PDP**" means proved developed reserves that are expected to be recovered from completion intervals currently open in existing wells and able to produce to market. They are reserves that can be recovered through wells with existing equipment and operating methods. Additional oil and natural gas to be obtained through the application of fluid injection or other improved recovery techniques for supplementing the forces and mechanisms of primary recovery will be included as "proved developed reserves" only after the improved recovery project is in operation.

Proved Undeveloped Reserves or "**PUDs**" means reserves that are expected to be recovered from new wells on undrilled acreage, or from existing wells where a relatively major expenditure is

required for recompletion. Reserves on undrilled acreage shall be limited to those drilling units offsetting productive units that are reasonably certain of production when drilled. Proved reserves for other undrilled units can be claimed only where it can be demonstrated with certainty that there is continuity of production from the existing productive formation. Under no circumstances should estimates for proved undeveloped reserves be attributable to any acreage for which an application of fluid injection or other improved recovery technique is contemplated, unless such techniques have proved effective by actual tests in the area and in the same reservoir.

“Reserve Report”: Reservoir engineers develop a Reserve Report for each existing well, whether producing or shut-in, and for each proved undeveloped well location. The reserve report takes into account: (i) current rate of production (or estimated initial rate of production of a proved undeveloped location); (ii) the rate at which production, assuming no further reserve additions, is expected to decline; (iii) future production costs unique to each well; (iv) development costs associated with the proved undeveloped reserves; and (v) any production taxes that must be paid.

The Valuation Policy is provided on the IntraLinks site.

Please see Section V – “Performance Metric & Valuation Disclosures” for important disclosures regarding historical and target performance.

19) Please discuss exposure to unrelated business taxable income (“UBTI”), effectively connected income (“ECI”), and/or commercial activity income (“CAI”).

For a detailed discussion on UBTI, ECI, and CAI, please refer to Section III – “Summary of Principal Terms” attached hereto and Section X – “Risk Factors” and Section XI – “Legal and Tax Matters” of the Memorandum.

20) Detail the key terms of the fund.

Please refer to Section III – “Summary of Principal Terms”.

21) Describe any current, pending or threatened litigation (including, but not limited to, any SEC or other regulatory investigations, actions or consent decrees) which involves any of the key individuals of the General Partner, EnCap or any affiliated entities.

In late 2021, the Compliance Section of the Bureau of Competition of the United States Federal Trade Commission (“FTC”) opened a civil investigation into whether certain operating companies within Fund XI may have violated the HSR Act in connection with the acquisition of EP Energy LLC (“**EP Energy**”) by Verdun Oil Company II LLC (“**Verdun**”), a Fund XI portfolio company.

The acquisition of EP Energy closed on March 30, 2022, subject to divestiture of EP Energy’s Utah business to an FTC-approved divestiture purchaser. The FTC’s investigation is focused on potential gun jumping by Verdun and Fund XI’s portfolio company, XCL Resources, prior to the closing of the transaction. The FTC has indicated that it believes a violation occurred and has asked the parties to engage in settlement discussions. EnCap denies that any violation occurred. Based on the information provided by the FTC, the maximum penalty for the alleged violation at issue would be approximately \$13 million, but matters of this nature typically settle significantly below the maximum. Therefore, EnCap does not expect this investigation to have a material impact on EnCap. EnCap is considering its options.

Please reference the IntraLinks site for litigation history.

- 22) **Have any of the key members of the senior management team, or any affiliated entities ever (i) filed for bankruptcy or (ii) had any judgments entered against them involving fraud, willful misconduct, gross negligence, breach of fiduciary duty or material violation of the securities law? If yes, please describe the circumstances.**

No.

- 23) **Describe any emergency arrangements for the General Partner, the fund, and related entities to cover major business interruptions such as fire, flood, etc. (i.e. disaster recovery plan(s)). Has your firm ever managed an investment in a crisis? Please give a brief description.**

Please see the System and Disaster Recovery Folder on the IntraLinks site.

- 24) **Is your firm currently registered as an Investment Adviser under the Investment Advisers Act of 1940?**

No, but an affiliate of the General Partner may register as an Investment Adviser under the Investment Advisers Act of 1940 in the future. The General Partner is currently an Exempt Reporting Adviser with the U.S. Securities and Exchange Commission, pursuing a “venture capital strategy” and will otherwise conduct the business and affairs of Fund XII so as to meet the requirements of the venture capital exemption until such affiliate of the General Partner registers as an Investment Adviser.

- 25) **Is the management entity covered by errors and omissions insurance? If yes, how much coverage do you have? If no, please explain why.**

Yes. EnCap is covered by a \$50 million broadly-defined Professional Liability policy that includes errors and omissions coverage for the general partners of each of the EnCap Funds, including the General Partner. Details of this policy are provided on the IntraLinks site.

B. Investment Strategy

26) What is the fund's strategy and how is this different from the strategy employed in previous EnCap Upstream Funds?

With Fund XII, EnCap will continue to utilize its time-tested investment approach of balancing capital preservation and value creation, which the Firm has employed since its inception in 1988. These investment priorities result in EnCap evaluating and identifying segments of the E&P market that the Firm believes offer the most attractive risk/return profile in any market condition. As prevailing market factors change, EnCap and its management teams will look to adapt investment strategies and allocate capital to opportunities they feel provide the most attractive returns. EnCap believes opportunities are created throughout all industry cycles, and through its proactive management style, the Firm strives to ensure that its mix of investment strategies will remain sound through various economic, commodity price, and regulatory environments. EnCap expects that Fund XII will benefit from the consistency in the Firm's leadership, investment model, core tenets, and partnerships with proven management teams that have been hallmarks of EnCap in its 34-year history as a leading energy investor. EnCap also views a robust opportunity set for Fund XII based on supportive macro fundamentals, current market trends, and a lack of capital available to the industry.

Focus on Building Successful Upstream Businesses

Fund XII, in pursuing its venture capital strategy, will focus on providing growth capital, typically making commitments of \$200 million to \$800 million to management teams focused on building upstream businesses in known producing regions in North America that will be attractive acquisition or merger candidates for larger upstream companies. The Firm will seek to partner with management teams with strong track records of value creation, including those who have led prior successful EnCap portfolio companies. In order to execute at a high level, EnCap expects its operating management teams to possess the commercial, operational, and technical expertise to capture opportunity and then responsibly and efficiently develop their assets to convert high-margin drilling opportunities into cash flow.

For operating companies, opportunity capture involves the aggregation of existing production and drilling inventory via a combination of acquisitions, leasing, trades, and farmouts. Subsequently, these companies will strive to develop their properties with responsible and efficient application of modern horizontal drilling and completion techniques and other operational best practices to optimize overall project economics. To generate returns for Fund XII limited partners, the Partnership and its portfolio companies will seek to execute business plans that support economic development and build strong businesses with scale, free cash flow, low leverage, and drilling inventory upside. In doing so, EnCap believes that Fund XII portfolio companies will maximize exit optionality and ultimate value. The exits may primarily be achieved, depending on market conditions, through a combination of full asset sales, partial asset sales, mergers into public entities, and the distribution of excess cash flow from operations over time. EnCap, and its portfolio company management partners, will continuously monitor the markets for exit strategies that maximize value for the Partnership. It is anticipated that Fund XII will also pursue oil and gas mineral and royalty acquisitions with select management teams. Throughout the life cycle of any given investment, EnCap and its management teams will remain highly focused on risk-adjusted economics as part of any decision-making process.

The following are examples of the types of opportunity sets that Fund XII portfolio companies will pursue in the process of building meaningful upstream businesses that are attractive to the market.

Property Acquisitions. Property acquisitions include upstream assets that typically have a significant underlying production base from existing wells and additional inventory that can be developed in the future. In the current market, these types of opportunities are sourced from a broad range of sellers including majors and large to mid-size independents seeking to streamline portfolios and divest non-strategic assets. In addition, private entities may sell properties to opportunistically seek liquidity or because they do not have access to the capital or expertise necessary to execute full field development at a high level. In recent quarters, several properties have been for sale in the market as a result of private equity sponsors exiting the upstream space altogether. Property acquisitions are sourced through a combination of private negotiations and marketed processes. While every opportunity is different, the post-capture path to value creation typically involves a combination of recycling cash flow into new high-margin development, reducing field operating costs, optimizing existing production, maintaining low overhead costs, recompleting certain existing wells, further expanding the asset base through additional acquisitions, and instilling a culture of excellence for in-field operations. Successful execution results in strong businesses with scale, free cash flow, and remaining inventory upside.

In EnCap's view, some of the best opportunities in the current market reside in property acquisitions. The Firm believes there is a robust inventory of these types of opportunities in the market or coming to market, and the lack of equity capital available for large property acquisitions (over \$500 million in total deal size) lends to a reduced buyer universe. The Firm believes that these dynamics provide the ability to capture meaningful and attractive platforms that possess a combination of substantial production and cash flow. Valuations can be very compelling with many recent properties transacting at or near "hard value". In general terms, this means that transaction values for many large acquisitions approximate the present value of PDP reserves (or current production value), implying that development upside is captured at limited to no cost. EnCap has been one of the most active acquirors of large property acquisitions since the beginning of 2021 and stands out as the only sponsor to make more than one \$500 million property acquisition in this timeframe.¹ Examples of recent property acquisitions in Fund XI include those successfully executed by Grayson Mill Energy II, LLC, Paloma Natural Gas, LLC, and Verdun Oil Company II, LLC (please see Section VIII – "Selected Transaction Summaries" of the Memorandum for more detail). EnCap believes that the effective execution of large property acquisitions (including sourcing, evaluation, underwriting, and negotiation) is a core competency of the Firm and will be a significant opportunity for the Partnership.

Leasehold Acquisitions. This strategy involves ground floor leasing, bolt-on acquisitions, and other strategies to gain access to undeveloped acreage and inventory where there is strong conviction in the underlying well economics. Operators seek to capture the uplift of value generated by the development of economic inventory when converted into producing wellbores versus the entry cost of acquiring the drilling locations. These types of opportunities usually have limited associated existing production. New leases are typically obtained from private mineral owners who have open leases, while other leasehold acquisitions may be sourced from operators who have acreage that is stranded or not included in their near-term development plans. Additionally, capital-constrained operators may seek to divest undeveloped acreage for cash

¹ Enverus.

consideration. In many instances, portfolio companies will couple these aggregation strategies with complex acreage trades with offset operators to ultimately control drillable units. Successfully executing a leasehold acquisition strategy requires a management team with extensive relationships and strong commercial acumen.

After aggregating a significant leasehold position, operators will seek to convert high-margin drilling inventory into production and cash flow through the efficient and responsible development of their properties. In most instances, this involves full field development with the goal of achieving the attributes desired by strategic buyers (i.e., scale and free cash flow). Early phases of development for this strategy likely require incremental equity investment until a business achieves a free cash flow inflection point given leasehold acquisitions typically have limited cash flow to start. Examples of teams primarily executing a leasehold acquisition strategy in Fund XI include Black Swan Oil & Gas Holdings, LLC and Double Eagle Energy Holdings IV, LLC (please see Section VIII – “Selected Transaction Summaries” of the Memorandum for more detail). It is also worth noting that leasehold acquisitions are often executed after property acquisitions, or vice versa, and management teams will be opportunistic in capturing assets that form a solid foundation for a compelling business plan.

Oil and Gas Mineral and Royalty Acquisitions. Oil and gas mineral and royalty acquisitions typically involve purchasing perpetual real-property interests that grant ownership of the oil and natural gas rights under the surface of a tract of land, providing the ability to explore, develop, and produce oil and natural gas on the specified land. In most instances, mineral owners will lease the rights to explore, develop, and produce hydrocarbons to a third party industry operator, such as an EnCap portfolio company, in exchange for an upfront cash payment, known as a lease bonus. Additionally, a mineral owner will retain a perpetual royalty on productive revenue typically ranging from 12.5% to 25.0% on a cost-free basis. The cost-free nature of the royalty retained by the mineral owner means that the mineral owner will receive a percentage of revenues (after deductions for severance and ad valorem taxes) but will not be burdened by any development capital or lease operating expenses. In many cases, a lease to an operator will have a three-to-five-year initial term, which can be extended or perpetuated through development and/or production depending on the terms of the lease. If the initial lease is not extended, or if production or operations cease past the initial term, the lease will terminate, which allows the mineral owner to execute a new lease with a different operator. In other circumstances, a specific percentage of revenue may be carved off from the operator’s lease with the mineral owner, which remains in effect as long as the lease is active. This type of royalty is referred to as an overriding royalty interest (“**ORRI**”) and is prevalent across most U.S. basins. When evaluating ORRIs, acquirors seek to ensure that the royalty interests are not at risk of lapsing based on the status of the underlying operator’s lease terms.

Acquisitions of mineral and royalty interests are sourced through a combination of proprietary relationship-based deal flow, networks of land brokers, and marketed transactions. Many of EnCap’s current investments were sourced by management teams with deep relationships with private families or family trusts seeking to divest generational-type assets to a trusted partner. In many situations, EnCap and its portfolio companies’ reputations, access to capital (i.e., cash), and ability to execute quickly are differentiating factors in this segment of the upstream business.

To underwrite acquisitions, mineral acquirors are tasked with forecasting future royalty revenue payments based on a number of variables including the expected number of wells to be developed in a given drilling unit, the timing of such wells being developed in the future, and the associated production forecasts for existing and future wellbores. Confidence in development timing, which

equates to the conversion of undeveloped minerals and royalties into a cash flow stream, is enhanced by on-the-ground intelligence, quality of the rock, operator economics, and an understanding of operator behavior. The underwriting process involves the combination of deep technical, commercial, and financial expertise to provide a realistic forecast for derived cash flows. In addition, the expertise and data aggregated through the management and operations of a broad range of upstream portfolio companies are highly transferrable to the mineral and royalty side of the business.

Since the earliest EnCap Funds, EnCap portfolio companies have actively acquired minerals and royalties as part of lease aggregation strategies to capture underappreciated value ahead of their own development. EnCap's first dedicated mineral and royalty portfolio company dates back to 2006 when EnCap Energy Capital Fund V, L.P. ("**Fund V**") invested in Phillips Royalty, the first of the Phillips related EnCap portfolio companies. The company was primarily focused on value-oriented acquisitions underpinned by PDP value at a time when minerals were not a major focus for institutional and public capital. Concurrent with the emergence of full field development, particularly in the Permian Basin, EnCap recognized the opportunity to acquire minerals and royalties in high quality rock in front of development activity, with a focus on well-capitalized and proven operators. The Firm partnered with multiple management teams in Fund IX to pursue this strategy. Between Funds IX, X, and XI, EnCap is one of the most active and experienced acquirors of minerals and royalties with approximately \$3.0 billion of equity deployed across several meaningful businesses. As a percentage of total invested capital, mineral strategies represent approximately 20% of Funds IX, X, and XI. EnCap believes it has a strong track record of performance for this strategy, evidenced by the success of realized and unrealized investments, particularly with EnCap Minerals, LLC (which is detailed in Section VIII – "Selected Transaction Summaries" of the Memorandum).

For Fund XII, EnCap believes there are still significant attractive investment opportunities given the highly fragmented nature of minerals and royalties with over \$400 billion of U.S. asset opportunities still in private hands². The Firm believes that Fund XII will have the opportunity to partner with high quality teams that have the necessary reputations, relationships, and networks to source proprietary deal flow and then appropriately underwrite returns with strong technical and financial expertise at both the portfolio company and EnCap levels. The Firm expects that the primary acquisition focus area will remain in the Permian Basin, given advantaged well economics and resilient development driving revenue growth, but EnCap and its portfolio companies will be opportunistic in evaluating acquisitions in other basins with strong economics and proven operators. Similar to EnCap's strategy for upstream operating companies, the Firm will seek to build mineral and royalties businesses at scale, which the Firm believes will best position assets for a strategic exit as undeveloped acreage matures and is converted to cash flow.

27) What are the fund's competitive advantages?

EnCap believes the strength and consistency of its track record sets the Firm apart from other energy-focused fund managers. The upstream sector of the oil and gas industry is continually evolving and changing. Over its 34-year history, EnCap has continually demonstrated the ability to adapt to changing market dynamics and, given the Firm's view of the opportunity set at the time, identify and capture attractive investment opportunities. EnCap intends to consistently adhere to the investment principles and employ the risk management tools that have guided the

² RBC Capital Markets.

Firm since its inception.

As further described below, EnCap believes the consistency of its track record and the experience of the EnCap Principals are key attributes that set the Firm apart from other energy-focused fund managers. In addition, the Firm believes the unique blend of the following market opportunities and platform-specific advantages make Fund XII a compelling investment opportunity:

Depth, Experience, and Continuity of Leadership and Investment Staff. EnCap believes one of the Firm's core strengths is the cohesion and experience of its leadership and staff. The EnCap Principals have an average of 33 years of industry-related experience including an average 25-year tenure at EnCap. The Firm has built its leaders from within the organization and maintained strong continuity across all levels of its organization. Most of EnCap's Investment Professionals have spent the majority of their professional careers with the Firm.

Consistent Returns over EnCap's 34-Year History. Since its formation in 1988, EnCap has invested and managed 22 institutional funds across multiple energy price cycles. Specific to the EnCap Upstream Funds, the Firm has invested approximately \$26.3 billion in 205 different companies as of September 30, 2022. A total of 171 investments representing approximately \$13.9 billion of invested capital have been realized or substantially realized, resulting in approximately \$25.1 billion of value (including realized proceeds and unrealized value). These realized and substantially realized investments have generated a 1.8x gross ROI and 26.8% gross IRR and a 1.5x net ROI and 18.7% net IRR. The 34 unrealized investments comprise approximately \$12.4 billion of total invested capital, and inclusive of these unrealized investments, total portfolio investments for the EnCap Upstream Funds represent a 1.8x gross ROI and 22.1% gross IRR and a 1.5x net ROI and 14.9% net IRR. EnCap believes the Firm's demonstrated ability to attract high quality management teams in the upstream industry, coupled with its consistent ability to invest capital and provide liquidity for its institutional partners over multiple decades, sets the Firm apart from other energy-focused fund managers.

Strong Reputation Attracts Management Teams and Generates Proprietary Deal Flow. EnCap believes that, over its 34-year history, the Firm has established a strong reputation as a leading and value-added source of growth-oriented equity capital to the independent sector of the upstream industry. The Firm believes this provides EnCap with the ability to partner with some of the best management teams in the industry and generate proprietary deal flow. Approximately half of the capital in EnCap's last four upstream funds was allocated to repeat management teams with whom EnCap had achieved success in prior funds. With Fund XII, the Firm expects to continue this trend of making a significant percentage of total Commitments to repeat teams. EnCap also anticipates that Fund XII will partner with a number of high quality new teams sourced through relationships. EnCap's Investment Professionals have spent their entire careers developing extensive contacts and relationships within the energy industry and energy-related financial community, thereby continually attracting new opportunities. In EnCap's view, these new teams will typically consist of highly talented individuals with strong track records of value creation and operational excellence. Additionally, the Firm believes that it has built a reputation as a highly commercial and reliable counterparty in upstream transactions, which provides more access to deal flow and enhances EnCap's opportunity set.

Board Control and Proactive Risk Management. Proactive risk management is a core tenet of the Firm, and a primary enabler of risk management is board control. The Firm controls its capital and the boards of its portfolio companies in virtually all of its investments. This provides EnCap direct oversight and determination of the pace of portfolio companies' capital spending programs,

capital structure, hedging policies, and exit strategies and timing. The Firm's long-standing philosophy of investing a fund over a multi-year period, while prudently hedging, has historically served to reduce overall hydrocarbon price risk by protecting its funds from overexposure to a limited portion of any cycle. Importantly, EnCap seeks to limit the amount of leverage its portfolio companies utilize to help protect capital during times of macroeconomic distress. This is exhibited by a current leverage ratio of less than 1.0x net debt to last twelve months EBITDA in its unrealized upstream portfolio as of September 30, 2022.

EnCap Technical Team Provides Unique Edge for Deal Evaluation and Ongoing Development. EnCap's Technical Team includes two reservoir engineers and a geologist, all with prior upstream technical and operating experience across various North American basins. The Technical Team works closely with the Investment Staff to evaluate new opportunities and actively monitor asset performance for EnCap portfolio companies and third-party operators. The Technical Team also has routine dialogue with the technical professionals at EnCap's portfolio companies to help refine and optimize development plans based on real-time data. EnCap, as a leading equity provider in the upstream space for multiple decades and currently one of the most active operators in the United States, has access to an expansive and proprietary dataset of well production, geologic interpretations, and operational practices across substantially all relevant resource plays in North America. The Technical Team uses its own in-house, proprietary software to integrate and efficiently evaluate this data to help inform decision making at the Firm and portfolio company level. EnCap believes the Technical Team's expertise and the critical role it plays within the EnCap ecosystem provide a leading in-house edge versus most industry operators and capital sponsors.

Ability to Invest and Distribute Capital through the Most Recent Market Downturn. EnCap has managed through many periods of challenging macro energy fundamentals, including the recent period of volatility caused by the COVID-19 pandemic. Given the cyclical nature of the energy industry, the Firm has always emphasized the importance of adaptability as it relates to investment and monetization decisions. During this most recent period of volatility, EnCap believes the Firm and its teams were able to successfully navigate the challenges of the downturn, while also capitalizing on opportunities created by significant distress in the marketplace. Since the beginning of 2020, the Firm has deployed approximately \$3.8 billion of equity capital across its upstream portfolio and has generated approximately \$7.4 billion in distributions for its limited partners as of September 30, 2022³. In EnCap's opinion, the Firm's response to recent market conditions demonstrates its continued ability to adapt, invest capital in economic opportunities, and distribute capital at attractive returns throughout energy price cycles, validating its long-standing investment model.

Adaptation of Investment Focus to Align with Market Trends. As the industry has evolved, so has EnCap's positioning of its investments based on its deep understanding of current market trends. During the industry's high growth and resource capture phase (circa 2005-2017), EnCap generally positioned its portfolio companies for a strategic sale with a balance of resource delineation, production, and an inventory-weighted opportunity set with substantial development potential. In the current market, company and asset valuations are depressed versus historical levels, and acquisitions and divestitures ("A&D") markets are challenging for sellers, especially for assets or companies that do not have meaningful scale and/or free cash flow. In response,

³ Represents the EnCap Upstream Funds and excludes co-investment vehicles or other pools of capital raised outside of the respective fundraises.

EnCap has adapted its approach to focus on building strong cash flowing and lowly leveraged businesses as a means to position assets for exits and generate returns, as evidenced by over 30 rigs running across the Firm's current portfolio. Importantly, EnCap has focused on ensuring that each operating portfolio company has the commercial, operational, and technical expertise to responsibly and efficiently develop its assets to convert high-margin drilling opportunities into cash flow. Additionally, since 2020, the Firm has put more emphasis on pursuing property acquisitions as part of opportunity capture given the perceived dislocation between A&D markets and developed asset value. With Fund XII, EnCap expects to continue its focus on property acquisitions in economically attractive areas as part of the overall opportunity set, and the Firm will seek to adapt to future market shifts to maximize value for the Partnership.

Long-Term Upstream Investment Remains Critical to Supply Global Energy Needs. Oil and gas are the backbone of global energy supply. In 2022, worldwide demand for oil and gas is expected to be approximately 97 million barrels per day of oil, excluding biofuels, and approximately 400 billion cubic feet per day of gas. Since 2010, these figures have grown approximately 11% and 24%, respectively, and on a combined basis, oil and gas represent approximately 53% of the total global energy stack. According to the International Energy Agency's ("IEA") 2022 World Energy Outlook Stated Policies Scenario, oil and gas demand will each increase by approximately 6% through 2030. These demand projections are roughly flat thereafter through the middle of this century with oil and gas supplying 47% of global energy in 2050. Meeting these critical energy needs will require substantial capital investment, and the IEA estimates that approximately \$650 billion of annual upstream capital investment will be required on average through 2030, which is an increase of over 50% compared to the average over the last four years (2019-2022E). EnCap views the U.S. as the most advantaged country to attract upstream investment given its leadership position in environmental protection, minimized corruption, and protection of human rights. The Firm believes that the combination of long-term capital investment requirements and its investment focus in the U.S. provides an attractive investment environment for Fund XII. EnCap will adhere to its core tenets to position Fund XII in investment opportunities that the Firm believes have the most compelling risk-adjusted returns.

28) Discuss the competitive landscape for new management teams.

One key theme in the upstream industry today is the lack of capital availability. Since 2019, limited capital has been raised in the upstream industry, and many generalist private investors have left the space altogether. While EnCap anticipates allocating capital to several repeat management teams with whom EnCap has had success in prior funds, the dynamic today presents an opportunity for Fund XII to partner with a number of high-quality new teams.

EnCap believes it is a preferred partner for private upstream companies and is consistently in the mix for best-in-class management teams looking to start new companies. These opportunities are typically sourced by the Investment Professionals, who have spent their entire careers developing extensive contacts and relationships within the upstream industry and broader energy and financial community. In the current environment, upstream capital providers, including EnCap, are less likely to provide a "blank check" equity commitment to new management teams given reduced competition, yet there are and will continue to be exceptions for teams with exceptional track records and actionable business plans. Given current dynamics, prospective teams are often asked to bring acquisition opportunities to EnCap prior to receiving a formalized commitment.

29) How do current market conditions impact the investment approach?

In the current environment, EnCap believes the growth equity opportunity set is highly compelling for well-capitalized market participants due to the ability to invest and acquire upstream assets at attractive valuations in the midst of reduced competition, especially for larger assets (over \$500 million in total deal size), despite development economics being very attractive. EnCap believes that Fund XII will be uniquely positioned to capture opportunities based on these fundamentals, and the Firm expects property acquisitions to be a material part of the Fund XII opportunity set as a result. EnCap also sees a continued opportunity set via leasehold acquisitions, which includes ground floor leasing, bolt-on acquisitions, and other structures to gain access to undeveloped acreage and development opportunity, and mineral and royalty acquisitions.

After capturing assets, EnCap expects that most of the Partnership's portfolio companies will embark on development and optimization plans that seek to economically convert drilling inventory into cash flow to build attractive cash flowing businesses. As noted, EnCap believes this strategy maximizes exit optionality and ultimate value across various market conditions. In the current market, public buyers are selective and are seeking strong cash flowing assets at-scale with attractive development inventory, and EnCap is positioning its existing portfolio to meet these objectives, while also distributing excess cash flow to generate returns until compelling monetization events materialize.

Since 1988, EnCap has maintained its steadfast adherence to its investment philosophy of seeking to ensure capital investment into what the Firm believes to be the most economically advantaged and best risk-adjusted opportunities in the upstream space while also adapting to ever-evolving market conditions. The Firm believes its ability to adapt to changing markets is well demonstrated by the state of its current portfolio and the business plans of its respective portfolio investments. With Fund XII, EnCap will also adhere to the same investment principles and employ the same risk management tools that have been a key part of the Firm's success over its 34-year history.

30) What is the average investment size? How many deals will be completed per year?

Fund XII will typically commit between \$200 million and \$800 million per investment with an anticipated total of 12 to 15 investments. Commitments to the portfolio companies are generally expected to occur over a two- to three-year period.

31) Are there maximum or target leverage guidelines for portfolio companies?

EnCap professionals are experienced at employing investment structures ranging from equity-linked securities in public and private companies to more asset-specific investments when seeking to achieve their investment objectives. When making investments, EnCap seeks to implement appropriate capital structures to facilitate the portfolio company's continued growth, including using prudent debt levels and providing sufficient equity to ensure access to capital for acquisitions, development projects, and execution of such portfolio company's business plan. EnCap's goal is to maintain flexibility and protect companies from downcycles. The Firm's conservative use of leverage is exhibited by a current leverage ratio of less than 1.0x net debt to last twelve months EBITDA in its unrealized upstream portfolio as of September 30, 2022.

32) Is the fund able to borrow capital and are there any limits on borrowing capacity?

The Partnership may incur leverage within the following limitations: the Partnership may borrow to bridge capital calls; the maturity date of each borrowing will not be more than 90 days from the date of borrowing, unless approved by the LPAC; and the aggregate amount of such borrowings outstanding at any time will not exceed \$400,000,000.

33) How are management teams of portfolio companies chosen and are portfolio company executives required to make meaningful investments alongside the fund?

EnCap seeks to invest in partnership with proven upstream management teams with strong track records of value creation and operational excellence. Over its history, EnCap believes it has established a strong reputation as a leading and value-added source of growth-oriented equity capital to the independent sector of the upstream industry. The Firm believes this provides EnCap with the ability to partner with some of the best management teams in the industry and generate proprietary deal flow. Approximately half of the capital in EnCap's last four upstream funds was allocated to repeat management teams with whom EnCap had achieved success in prior funds. With Fund XII, the Firm expects to continue this trend of making a significant percentage of total Commitments to repeat teams. EnCap also anticipates that Fund XII will partner with a number of high quality new teams sourced through relationships. EnCap's Investment Professionals have spent their entire careers developing extensive contacts and relationships within the energy industry and energy-related financial community, thereby continually attracting new opportunities. In EnCap's view, these new teams will typically consist of highly talented individuals with strong track records of value creation and operational excellence.

Importantly, EnCap will require management to make a meaningful personal investment alongside Fund XII, generally on the same terms and conditions as the Fund XII investors, to ensure an alignment of interests.

34) How would a challenged investment be dealt with? Give an example of a deal that was underperforming and the lessons learned from it.

Paloma Partners IV ("Paloma IV") is a recent example of a challenged investment which EnCap believes it successfully navigated. Paloma IV is a privately held, Houston-based independent upstream company led by Chris O'Sullivan (President), Mark Gabrisch (EVP Land), and Bobby Poirrier (VP & CFO). EnCap has a significant track record of value creation with Mr. O'Sullivan dating back to 1998.

Paloma IV was formed in May 2014 and currently has a \$550 million total commitment including \$479 million from Fund IX, \$55 million from Macquarie and \$17 million from management.

Paloma IV initially built a position in the Tuscaloosa Marine Shale through lease aggregation but limited exposure by bringing in a joint venture partner who ultimately acquired Paloma IV's position. In early 2016, Paloma IV pivoted to the STACK play in Oklahoma's Anadarko Basin and built an asset base with a combination of leasing, farmouts, and small acquisitions.

Paloma IV initiated an operated development program in the second quarter of 2017 with the goal of increasing production and cash flow and delineating its acreage position in preparation for a sales process. Initially, Paloma IV focused on one- or two-well developments, which yielded encouraging results from these unbounded or half-bounded wells. Given positive results and the desire to enhance efficiencies, Paloma IV transitioned to larger scale or full unit development, which involves developing multiple or all economic locations in a given unit concurrently.

Paloma IV's development spacing assumptions were based on available data, including the extrapolation of certain spacing tests and current practices by other industry operators. However, Paloma IV, and substantially all operators in the Anadarko Basin, underestimated the impact of depletion from older, nearby parent wells and the impact of the spacing of a fully developed unit. As a result, many of Paloma IV's early unit developments and child wells offset older vintage wells and underperformed expectations.

With better spacing data, Paloma IV took measures to aggressively “upspace” its development patterns in 2019. Paloma IV greatly reduced the number of wells it targeted in any given unit and also ensured significant setbacks from older vintage parent wells to mitigate pressure depletion for new wells. Paloma IV was executing on its new development planning as the COVID-19 pandemic broke out in early 2020. Paloma IV experienced a subsequent period of distress and took measures to halt all capital spending, greatly reduce overhead and field costs, shed non-core assets, and pay down debt with insulation from hedges in place.

As commodity prices rebounded from historically low levels, Paloma IV was in position to resume development as a result of its balance sheet improvements and favorable results achieved through its upspaced developments in 2019. Since then, Paloma IV has achieved compelling economics through the drill bit with well results that have generally met or exceeded expectations. In addition, Paloma IV has successfully added significant inventory to extend the runway of development and position Paloma IV for an ultimate exit. During 2022, Paloma IV distributed \$100 million of cash flow from operations, including approximately \$90 million net to Fund IX, while maintaining modest leverage below 1.0x debt/EBITDA. As of September 30, 2022, this investment has \$565.6 million of unrealized value plus distributions to date compared to \$470.6 million invested to date for Fund IX, and EnCap believes Paloma IV will continue to create value through optimized development and its business development efforts.

In terms of lessons learned, EnCap believes that Paloma IV re-emphasizes the importance of measured development. The more conventional nature of the producing reservoirs in the Anadarko Basin exacerbates the effects of parent/child relationships and full unit spacing on well results. EnCap’s deal teams and Technical Team work closely with its management teams to plan prudent development that stages capital investment with the goal of de-risking full development. Additionally, Paloma IV’s experiences re-emphasize the importance of prudent hedging and maintaining board control and flexibility to quickly alter development plans, which ultimately insulated Paloma IV during 2020 and positioned Paloma IV for success over the long term.

35) Discuss EnCap’s response to COVID-19 impacts.

Prior to the onset of the COVID-19 pandemic, EnCap portfolio companies were running 18 horizontal rigs on a combined basis. As commodity prices fell, the Firm quickly halted essentially all development activity, which is evident by the reduction to one horizontal (gas) rig at the trough of portfolio activity. Overall, the EnCap portfolio greatly benefitted by entering the downturn with relatively moderate leverage, relatively low overhead, prudent hedge positions, and limited contractual obligations that enabled companies to halt capital spending and use operating cash flow to fortify balance sheets. As a result, the EnCap portfolio successfully managed through a year of severe industry distress and was well positioned to create value through development or acquisitions as the market recovered.

As commodity prices recovered, EnCap accelerated development activity to take advantage of attractive development economics. By the end of 2021, the Firm’s portfolio was running 22 horizontal rigs, and as of September 30, 2022, the portfolio is running over 30 horizontal rigs, which makes EnCap one of the most active industry operators on a combined basis. Value creation through asset development is evident in strong free cash flow generation across the majority of the Firm’s portfolio, which has translated to record distributions from operating cash flow over recent quarters. The current portfolio also has a healthy leverage profile with less than 1.0x net debt to last twelve months EBITDA. Additionally, as highlighted in Section V – “Investment Strategy” of the Memorandum, EnCap has taken advantage of recent market dynamics, which include

industry capital scarcity and attractive asset valuations, to execute several meaningful large property acquisitions and other material bolt-on acquisitions that the Firm believes are well positioned for value creation.

36) What industries will the fund focus on?

The Partnership will primarily focus on providing growth equity to proven upstream management teams with strong track records of value creation and operational excellence. It is anticipated that the majority of Fund XII portfolio companies will seek to build upstream businesses in known producing regions in North America that will be attractive acquisition or merger candidates for larger upstream companies.

Subject to LPAC approval, Fund XII may from time to time participate in midstream opportunities as a co-investor with EnCap Flatrock Midstream Fund V, L.P. (“EFM V”) (or any successors to such fund) when the capital commitment associated with any midstream opportunity is substantial and in excess of what EFM V can reasonably fund on its own.

37) What is the fund’s geographic focus?

While the geographic focus is North America, as has been the case historically, the vast majority of Fund XII capital is expected to be invested in the United States. Absent LPAC approval, not more than 15% of Fund XII’s Commitments may be invested outside of North America.

38) What is the estimated length of time before Fund XII will be fully invested?

With Fund XII, EnCap will continue to employ the Firm’s long-standing philosophy of committing to a diversified group of management teams and investing capital to each those teams over a multi-year period. Actual investment pace with each team will be highly dependent on market dynamics with a focus on investing in attractive economic risk-adjusted opportunities. The Firm believes that investing capital over time helps to reduce overall hydrocarbon price risk by protecting funds from overexposure to a limited portion of any cycle.

The “**Commitment Period**” of Fund XII will end on the earlier of (a) the fifth anniversary of the date of the final closing or (b) such time as at least 100% of Commitments have been invested, committed or reserved (including amounts reserved for reasonably anticipated expenses of the Partnership and management fees). After the Commitment Period, the General Partner may draw down Commitments only to the extent necessary: (i) to cover expenses and obligations of the Partnership, including management fees; (ii) for a period of 12 months following the expiration of the Commitment Period, to cover any new investments as to which, prior to the end of the Commitment Period, the Partnership has signed a letter of intent (or similar instrument) or definitive agreement; and (iii) for any follow-on investment in any portfolio company existing at the end of the Commitment Period or made thereafter pursuant to (ii) above (each permitted investment referred to in (ii) or (iii), an “**Existing Investment**”). If the General Partner determines that a portion of the unpaid Commitments reserved to fund an Existing Investment may not be used, the General Partner may reallocate such amount to another Existing Investment.

39) Discuss whether Fund XII will be a lead investor, co-investor, or sole investor.

In nearly all cases, EnCap will take lead positions in its transactions, and in most cases, will be the sole investor aside from the management teams’ capital contributions. EnCap, either on its own or with like-minded investors, is typically committing enough capital at an early stage to warrant a control position.

40) What are the target rates of return?

The Partnership will target a gross ROI and gross IRR of at least 2.0x and 25%, respectively, and a net ROI and net IRR of at least 1.75x and 20%, respectively. Please see Section V – “Performance Metric & Valuation Disclosures” for important disclosures regarding historical and target performance. The assumptions underlying target performance are available upon request.

41) Discuss the various strategies to be employed by EnCap portfolio companies.

The following are examples of broad strategies that Fund XII portfolio companies will employ:

Property Acquisitions. Property acquisitions include upstream assets that typically have a significant underlying production base from existing wells and additional inventory that can be developed in the future. In the current market, these types of opportunities are sourced from a broad range of sellers including majors and large to mid-size independents seeking to streamline portfolios and divest non-strategic assets. In addition, private entities may sell properties to opportunistically seek liquidity or because they do not have access to the capital or expertise necessary to execute full field development at a high level. In recent quarters, several properties have been for sale in the market as a result of private equity sponsors exiting the upstream space altogether. Property acquisitions are sourced through a combination of private negotiations and marketed processes. While every opportunity is different, the post-capture path to value creation typically involves a combination of recycling cash flow into new high-margin development, reducing field operating costs, optimizing existing production, maintaining low overhead costs, recompleting certain existing wells, further expanding the asset base through additional acquisitions, and instilling a culture of excellence for in-field operations. Successful execution results in strong businesses with scale, free cash flow, and remaining inventory upside.

In EnCap’s view, some of the best opportunities in the current market reside in property acquisitions. The Firm believes there is a robust inventory of these types of opportunities in the market or coming to market, and the lack of equity capital available for large property acquisitions (over \$500 million in total deal size) lends to a reduced buyer universe. The Firm believes that these dynamics provide the ability to capture meaningful and attractive platforms that possess a combination of substantial production and cash flow. Valuations can be very compelling with many recent properties transacting at or near “hard value”. In general terms, this means that transaction values for many large acquisitions approximate the present value of PDP reserves (or current production value), implying that development upside is captured at limited to no cost. EnCap has been one of the most active acquirors of large property acquisitions since the beginning of 2021 and stands out as the only sponsor to make more than one \$500 million property acquisition in this timeframe. Examples of recent property acquisitions in Fund XI include those successfully executed by Grayson Mill Energy II, LLC, Paloma Natural Gas, LLC, and Verdun Oil Company II, LLC (please see Section VIII – “Selected Transaction Summaries” of the Memorandum for more detail). EnCap believes that the effective execution of large property acquisitions (including sourcing, evaluation, underwriting, and negotiation) is a core competency of the Firm and will be a significant opportunity for the Partnership.

Leasehold Acquisitions. This strategy involves ground floor leasing, bolt-on acquisitions, and other strategies to gain access to undeveloped acreage and inventory where there is strong conviction in the underlying well economics. Operators seek to capture the uplift of value generated by the development of economic inventory when converted into producing wellbores versus the entry cost of acquiring the drilling locations. These types of opportunities usually have limited associated existing production. New leases are typically obtained from private mineral

owners who have open leases, while other leasehold acquisitions may be sourced from operators who have acreage that is stranded or not included in their near-term development plans. Additionally, capital-constrained operators may seek to divest undeveloped acreage for cash consideration. In many instances, portfolio companies will couple these aggregation strategies with complex acreage trades with offset operators to ultimately control drillable units. Successfully executing a leasehold acquisition strategy requires a management team with extensive relationships and strong commercial acumen.

After aggregating a significant leasehold position, operators will seek to convert high-margin drilling inventory into production and cash flow through the efficient and responsible development of their properties. In most instances, this involves full field development with the goal of achieving the attributes desired by strategic buyers (i.e., scale and free cash flow). Early phases of development for this strategy likely require incremental equity investment until a business achieves a free cash flow inflection point given leasehold acquisitions typically have limited cash flow to start. Examples of teams primarily executing a leasehold acquisition strategy in Fund XI include Black Swan Oil & Gas Holdings, LLC and Double Eagle Energy Holdings IV, LLC (please see Section VIII – “Selected Transaction Summaries” of the Memorandum for more detail). It is also worth noting that leasehold acquisitions are often executed after property acquisitions, or vice versa, and management teams will be opportunistic in capturing assets that form a solid foundation for a compelling business plan.

Oil and Gas Mineral and Royalty Acquisitions. Oil and gas mineral and royalty acquisitions typically involve purchasing perpetual real-property interests that grant ownership of the oil and natural gas rights under the surface of a tract of land, providing the ability to explore, develop, and produce oil and natural gas on the specified land. In most instances, mineral owners will lease the rights to explore, develop, and produce hydrocarbons to a third party industry operator, such as an EnCap portfolio company, in exchange for an upfront cash payment, known as a lease bonus. Additionally, a mineral owner will retain a perpetual royalty on productive revenue typically ranging from 12.5% to 25.0% on a cost-free basis. The cost-free nature of the royalty retained by the mineral owner means that the mineral owner will receive a percentage of revenues (after deductions for severance and ad valorem taxes) but will not be burdened by any development capital or lease operating expenses. In many cases, a lease to an operator will have a three-to-five-year initial term, which can be extended or perpetuated through development and/or production depending on the terms of the lease. If the initial lease is not extended, or if production or operations cease past the initial term, the lease will terminate, which allows the mineral owner to execute a new lease with a different operator. In other circumstances, a specific percentage of revenue may be carved off from the operator’s lease with the mineral owner, which remains in effect as long as the lease is active. This type of royalty is referred to as an overriding royalty interest (“**ORRI**”) and is prevalent across most U.S. basins. When evaluating ORRIs, acquirors seek to ensure that the royalty interests are not at risk of lapsing based on the status of the underlying operator’s lease terms.

Acquisitions of mineral and royalty interests are sourced through a combination of proprietary relationship-based deal flow, networks of land brokers, and marketed transactions. Many of EnCap’s current investments were sourced by management teams with deep relationships with private families or family trusts seeking to divest generational-type assets to a trusted partner. In many situations, EnCap and its portfolio companies’ reputations, access to capital (i.e., cash), and ability to execute quickly are differentiating factors in this segment of the upstream business.

To underwrite acquisitions, mineral acquirors are tasked with forecasting future royalty revenue

payments based on a number of variables including the expected number of wells to be developed in a given drilling unit, the timing of such wells being developed in the future, and the associated production forecasts for existing and future wellbores. Confidence in development timing, which equates to the conversion of undeveloped minerals and royalties into a cash flow stream, is enhanced by on-the-ground intelligence, quality of the rock, operator economics, and an understanding of operator behavior. The underwriting process involves the combination of deep technical, commercial, and financial expertise to provide a realistic forecast for derived cash flows. In addition, the expertise and data aggregated through the management and operations of a broad range of upstream portfolio companies are highly transferrable to the mineral and royalty side of the business.

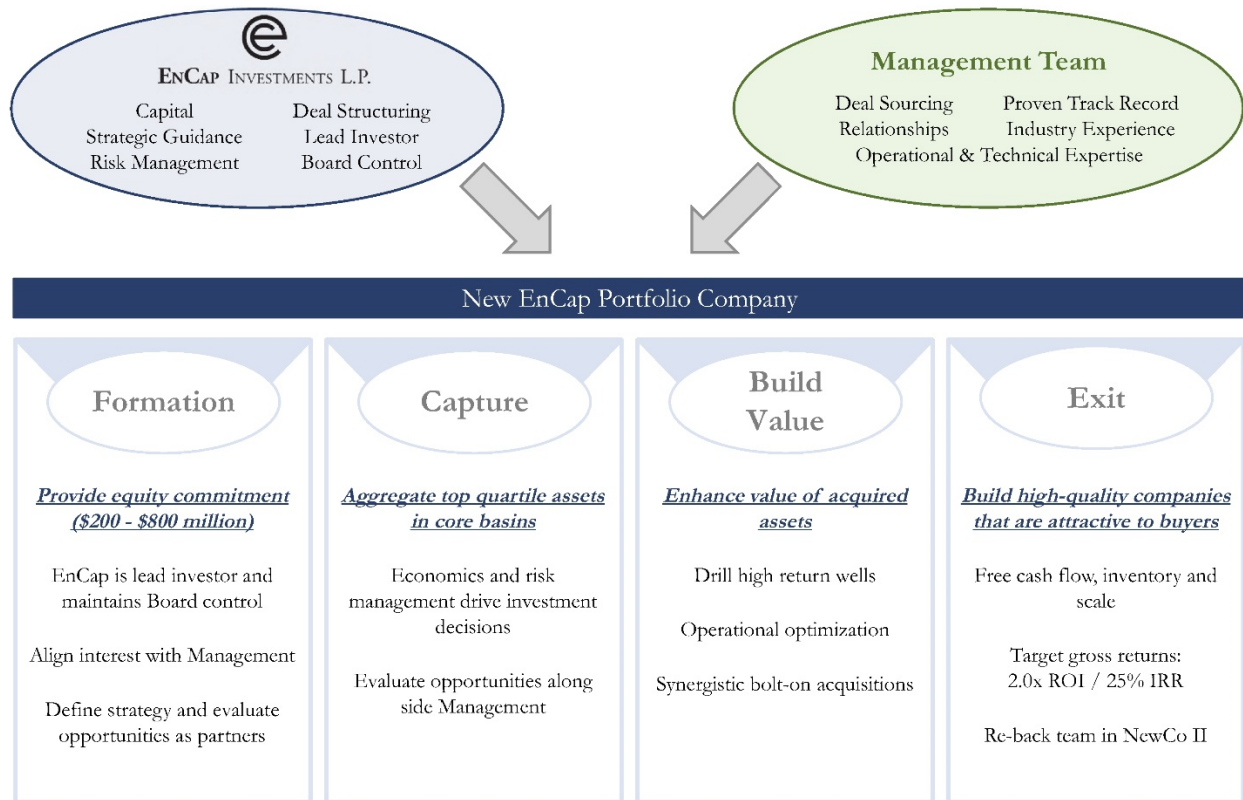
Since the earliest EnCap Funds, EnCap portfolio companies have actively acquired minerals and royalties as part of lease aggregation strategies to capture underappreciated value ahead of their own development. EnCap's first dedicated mineral and royalty portfolio company dates back to 2006 when Fund V invested in Phillips Royalty, the first of the Phillips related EnCap portfolio companies. The company was primarily focused on value-oriented acquisitions underpinned by PDP value at a time when minerals were not a major focus for institutional and public capital. Concurrent with the emergence of full field development, particularly in the Permian Basin, EnCap recognized the opportunity to acquire minerals and royalties in high quality rock in front of development activity, with a focus on well-capitalized and proven operators. The Firm partnered with multiple management teams in Fund IX to pursue this strategy. Between Funds IX, X, and XI, EnCap is one of the most active and experienced acquirors of minerals and royalties with approximately \$3.0 billion of equity deployed across several meaningful businesses. As a percentage of total invested capital, mineral strategies represent approximately 20% of Funds IX, X, and XI. EnCap believes it has a strong track record of performance for this strategy, evidenced by the success of realized and unrealized investments, particularly with EnCap Minerals, LLC (which is detailed in Section VIII – "Selected Transaction Summaries" of the Memorandum).

For Fund XII, EnCap believes there are still significant attractive investment opportunities given the highly fragmented nature of minerals and royalties with over \$400 billion of U.S. asset opportunities still in private hands. The Firm believes that Fund XII will have the opportunity to partner with high quality teams that have the necessary reputations, relationships, and networks to source proprietary deal flow and then appropriately underwrite returns with strong technical and financial expertise at both the portfolio company and EnCap levels. The Firm expects that the primary acquisition focus area will remain in the Permian Basin, given advantaged well economics and resilient development driving revenue growth, but EnCap and its portfolio companies will be opportunistic in evaluating acquisitions in other basins with strong economics and proven operators. Similar to EnCap's strategy for upstream operating companies, the Firm will seek to build mineral and royalties businesses at scale, which the Firm believes will best position assets for a strategic exit as undeveloped acreage matures and is converted to cash flow.

C. Investment Process

42) Discuss the General Partner's deal-sourcing capabilities.

The following illustration explains the investment process for a typical EnCap portfolio company.



Instrumental to EnCap's investment strategy is the ability to identify and attract management teams who EnCap believes have a proven track record of value creation, are industry leaders, and have compelling business plans. EnCap's partnerships are sourced by the Investment Professionals, who have spent their entire careers developing extensive contacts and relationships within the upstream industry and the broader energy and financial community. Additionally, approximately half of the capital commitments in EnCap's last four upstream funds were allocated to repeat management teams, and EnCap anticipates that this trend will continue in Fund XII. The Firm believes its reputation as a trusted, value-add partner and provider of growth capital to the upstream sector enhances its ability to secure some of the industry's top management teams.

Prospective management teams are rigorously evaluated against a number of criteria:

- Demonstrable track record of value creation;
- High level of technical and operational competency;
- Compelling business plan and value creation strategy consistent with their past experience;
- Strong industry contacts and ability to identify and capture new opportunities;
- Ability to adhere to best industry practices regarding environmental, health, and safety issues;
- Managerial and leadership skills, strategic vision, and adaptability;
- Shared view of risk management and potential exit paths;
- Team relationships based upon prior working interactions and experiences; and
- Alignment of interests.

43) Discuss the fund's due diligence process. Are third parties used in the due diligence process?

After identifying a potential new management team, an internal deal team from EnCap, typically consisting of a Partner and two or more other Investment Professionals, will prepare a preliminary report recommending that the commitment to the team be pursued. This report encompasses a review of the prospective management team's background and track record, business plan and strategy for value creation, asset/reserve evaluation (if applicable), analysis from EnCap's Technical Team (if applicable), and a summary of initial discussions regarding terms. As the process evolves, and prior to closing, EnCap's diligence efforts include thorough reference checks and further scrutiny of the business plan. For new commitments intended to support actionable, near-term asset opportunities, diligence efforts will also include rigorous evaluation by EnCap's Technical Team, environmental assessment, and title review. In complex situations or ones involving significant acquisitions, EnCap's portfolio companies will typically engage third-party consultants to conduct due diligence for environmental, land, and surface considerations.

Throughout the investment process, EnCap has routine dialogue and strategy discussions with its portfolio companies to closely monitor results and development plans. The board of managers of each company reviews and approves capital and overhead budgets on a quarterly or more frequent basis, and EnCap controls capital exposure, hedging policies, and capital structures. EnCap's deal teams also monitor progress on ESG milestones and events at quarterly board meetings and on an ongoing basis, as well as through annual reporting at the EnCap level in close coordination with the Firm's Head of ESG. When evaluating new opportunities, EnCap's Technical Team collaborates with portfolio company technical leads and staff to provide analysis and interpretations of data that may be impactful to development assumptions and overall valuation considerations in any given targeted geographic area.

44) How are investment decisions made and transactions teams staffed?

Once the due diligence process is complete, the deal team, typically consisting of one Managing Partner and two or more other Investment Professionals, will present the prospective commitment to EnCap's Upstream Investment Committee, which is comprised of the Managing Partners, two Partners (Messrs. Kafka and Thielemann), and the Senior Advisors. Approval to make a formal commitment is achieved with approval of the Managing Partners. In parallel, EnCap's deal team will negotiate and finalize company agreements that outline commercial terms and governance for the new entity. After closing the commitment, EnCap will be the lead investor and maintain board control in virtually all new investments. The Firm believes board control is critical to provide direct oversight and determination of the pace of portfolio companies' capital spending programs, capital structure, hedging policies, and exit strategies and timing.

45) Discuss investment structuring.

EnCap seeks to employ a disciplined, yet flexible approach to pricing and structuring transactions. EnCap professionals are experienced at creating investment structures, ranging from equity-linked securities in public and private companies to more asset-specific investments, to achieve their investment objectives. When making investments, the Investment Professionals seek to implement capital structures appropriate to facilitate the company's growth, including providing sufficient equity to ensure access to capital for acquisitions, development projects, and execution of the company's business plan. EnCap seeks to structure deals based on a conservative forecast of future oil and gas prices that are generally at or below current NYMEX prices, honoring any existing hedging or fixed price arrangements. EnCap's economic modeling encompasses a suite of

sensitivities based on a wide range of future oil and gas prices with emphasis on preserving capital even in a declining price environment.

46) Discuss EnCap's approach to ESG.

EnCap has a long history of responsible investment practices that are reflected in the way the Firm has conducted business for over thirty years. The Firm is guided by its responsibility to its 350-plus investors, many of which have ESG mandates. EnCap believes in an ongoing commitment to excellence across all areas of its business, including ESG stewardship. Sound ESG practices allow the Firm to mitigate risk and build resilient businesses, creating long term value for EnCap's investors. ESG standards continue to evolve, and the Firm is committed to staying abreast of these changes and prioritizing matters that are consistent with the Firm's ideals and actionable by its portfolio companies to deliver best-in-class financial and ESG performance.

<u>Environmental</u>	<u>Social</u>	<u>Governance</u>
• Promote the importance to EnCap portfolio companies of being responsible stewards of air, land, and water • Encourage EnCap's upstream companies to monitor and reduce emissions • Invest in a cleaner energy future via our Energy Transition companies • Prioritize innovative technologies and practices to improve environmental performances where feasible	• Attract talented diverse employees and provide them an environment to grow and succeed • Foster an inclusive and respectful work environment • Strive for best practices regarding health and safety in company operations • Partner with communities by providing jobs and engaging with stakeholders • Support philanthropic organizations that employees are passionate about	• Commit to conducting EnCap's business with integrity, honesty, and transparency • Manage risk – a core of EnCap's investment process, the Firm controls the board of virtually all portfolio companies • Review ESG matters at quarterly board meetings • Collect standardized ESG metrics from portfolio companies to direct areas of focus and assess improvement

Oversight and Portfolio Assessment. EnCap's commitment to integrating sound ESG practices begins with a strong foundation in governance. The Principals have ultimate oversight over the Firm's responsible investing efforts and set the tone for the way the Firm conducts its business. The Principals work directly with Sophia Friese, Head of ESG, who is responsible for enhancing and executing EnCap's ESG program across the Firm and its portfolio companies.

At the portfolio company level, EnCap controls virtually all of the boards and the capital of its portfolio companies. Board control provides EnCap with direct oversight over material decisions and policies, including how its respective companies address ESG considerations. EnCap and its management teams evaluate ESG-related risks and opportunities throughout the life cycle of investments, from opportunity capture to development to monetization. EnCap understands the importance of being good stewards of upstream properties in maximizing the ultimate value of an exit, particularly in the current market where acquirors are focused on the environmental attributes of potential assets and the impact on their pro forma environmental reporting.

In order to closely monitor portfolio company ESG performance, EnCap has routine dialogue with its management teams and mandates ESG updates at board meetings. Additionally, the Firm requires every portfolio company to complete a comprehensive annual ESG questionnaire to supply data on a wide range of performance metrics. Currently, EnCap strives to collect information spanning the following key areas:

- Scope 1 emissions
- Methane emissions
- Flared gas
- Number of spills
- Freshwater usage
- Water recycled
- Water consumption
- Diversity statistics
- Safety incidents
- ESG-related policies

The Firm's goal is to identify portfolio trends and potential reporting, policy, or performance gaps to inform potential improvement opportunities. While the quality of EnCap's data continues to develop, the Firm believes a standardized questionnaire enhances awareness of portfolio companies' impact and allows for measurable performance. Importantly, the data that is collected from each portfolio company is utilized to communicate results to EnCap's investors via its Annual Sustainability Report. This report was issued for the third consecutive year in 2022.

Policies. EnCap recognizes its responsibility to its stakeholders and upholds a culture that promotes strong ethics, honesty, and integrity. The Firm maintains a Compliance Manual and Code of Ethics and ESG Policy, which serve to help protect the Firm's business and reputation and to guide employees in their actions. The Compliance Manual and Code of Ethics is reviewed by EnCap's Chief Compliance Officer, Robert H. Haier, Jr., semi-annually for updates regarding changing regulation or best practices. EnCap employees are required to acknowledge their compliance with these policies semi-annually. In addition, Mr. Haier works closely with ACA Group (a leading governance, risk, and compliance firm) to administer EnCap's compliance program and navigate regulatory developments. Finally, EnCap's Annual Sustainability Report, as well as other public statements made about ESG, are reviewed by Mr. Haier, the Firm's Chief Financial Officer (Craig Friou), and the Principals.

Cybersecurity. Shamil Zuberi, Chief Information Officer, is responsible for developing and managing EnCap's information security and resiliency programs. Mr. Zuberi works with the Chief Financial Officer, the Chief Compliance Officer, and the Principals in reviewing cybersecurity policies and procedures and refining EnCap's comprehensive incident response plan. Each year, Mr. Zuberi conducts a gap analysis and prepares a roadmap for continuous improvement to the Firm's information technology infrastructure. EnCap also performs regular risk reviews and vendor assessments to prepare the Firm for potential cybersecurity threats. EnCap partners with a cybersecurity firm that provides 24/7 security operations center services and monitors all information technology assets using artificial intelligence and behavior patterns. The Firm also conducts yearly cybersecurity assessments on portfolio companies based on the National Institute of Standards and Technology cybersecurity framework.

Employee Well-Being. EnCap believes in a culture that is inclusive and respectful with no tolerance for discrimination or harassment. The Firm takes pride in its people and their long-term

success, providing opportunities to keep them engaged and mature professionally. EnCap hires individuals who the Firm believes have the capability and drive to develop new skills, broaden relationships across the organization, and benefit performance for investors. In order to attract leading talent, EnCap offers a range of benefits aimed at supporting its employees, including a retirement savings program, fitness program, flexible spending accounts and parental leave to care for a newborn child or for placement of child for adoption or foster care for up to 16 work weeks.

Philanthropy. Giving back has always been a core value of EnCap’s culture, and the Firm actively encourages employees and portfolio companies to further engage with their communities. EnCap supports its employees’ pursuit of causes they are passionate about, whether through volunteering or making charitable donations, and many employees have become heavily involved in community work, including by serving on boards or in similar leadership positions. As such, individual employee community work adds a meaningful amount over and above what is reported at the EnCap level. To support the organizations its employees are passionate about, EnCap offers a financial donation matching program for most employees. Additionally, the Firm has a Charitable Action Committee that organizes EnCap Engage events for its employees to work together and serve a local charity as well as assist the non-profit organization in its annual budget. The Charitable Action Committee actively promotes these events internally by encouraging participation and providing summaries of their impact.

Portfolio Company Initiatives and Investments. EnCap seeks to partner with like-minded management teams, including as it relates to responsible stewardship of upstream properties and instilling cultures that support such efforts. The Firm expects all of its portfolio companies to manage their respective businesses in a manner that protects and supports the communities and stakeholders in which they operate. The Firm is focused on ensuring responsible development across its portfolio and fully recognizes that potential acquirors of at-scale businesses are highly focused on the environmental attributes of assets being purchased.

In Section VIII – “Selected Transaction Summaries” of the Memorandum, some of the initiatives and investments of each portfolio company are highlighted as part of the broader investment summary. Below is an illustration of some of the technologies and best practices that the Firm’s portfolio companies are actively deploying to mitigate the environmental impact of responsible operatorship:

<u>Drilling & Completions</u>	<u>Facility Design & Operations</u>	<u>Emissions Monitoring</u>
• Electric Frac Fleets: Utilize turbines powered by in-field gas as opposed to diesel to reduce emissions and costs • Cube Development: Minimizes surface disturbances, increases safety, and centralizes infrastructure • Frac Water Recycling: Conserve freshwater and reduce need for disposal	• Vapor Recovery Units: Remove vapors from crude oil or distillate, reducing fugitive emissions and increasing sales volumes • Weighted Thief Hatches: Help prevent emissions from storage tanks • Pipeline Takeaway: Establish before completing wells to reduce flaring	• Continuous Monitoring: Place cameras at wellsites to provide real-time emissions data • Leak Detection & Repair: Monitor sites for leaking components • Aerial Monitoring: Utilize LiDAR cameras placed on drones to detect fugitive emissions

47) Discuss portfolio company approaches to addressing environmental risks.

In connection with the acquisition of oil and gas assets, EnCap will endeavor to minimize or quantify a portfolio company's environmental risks and liabilities associated with the target assets. Typically, this will be handled both through negotiation of certain contractual protections with the seller, as well as through conducting (or engaging environmental consultants to conduct) certain environmental inspections and due diligence regarding the target assets and the applicable seller. Contractual protections in an asset purchase and sale agreement may include, among others:

- (i) pre-closing environmental defect procedures, whereby the portfolio company would be permitted to inspect the assets and seller's environmental records and assert defects prior to closing in the event that any material legal non-compliance was discovered (with the contractual remedies often including adjustments to the purchase price and/or exclusion of the affected properties from the sale);
- (ii) obtaining certain representations and warranties regarding the target assets and the seller concerning compliance with applicable environmental laws, which representations and warranties may survive after closing for a negotiated period; and
- (iii) specified retention of certain environmental liabilities by the seller—even though sellers often will desire the buyer to assume environmental risk, either at closing or after some limited look-back period, it is not uncommon for a seller to retain liability for certain identified environmental risks, the cost of which may be difficult to estimate, or certain environmental liabilities which may be impossible for the buyer to fully diligence, such as liability associated with any prior off-site disposal of pollutants from the target assets.

In addition to certain contractual protections described above, in order for a buyer to obtain the status of a "bona fide purchaser" for purposes of certain federal and state environmental laws (which could protect the buyer from certain existing but unknown environmental liabilities), a buyer will need to have conducted a required level of physical inspection and regulatory due diligence on the target assets (often referred to as a "Phase 1" review). A portfolio company will typically engage qualified third-party environmental consultants to conduct such inspection and review. Depending on the size of the transaction, the volume of assets involved, the cost of the environmental due diligence and inspection and the time allowed under the applicable purchase contract for the buyer to complete its review, a portfolio company may need to make certain cost-benefit analysis as to whether to conduct such a review on all target assets.

When a portfolio company is selling oil and gas assets, it will endeavor to have the buyer contractually assume all environmental risks associated with the assets to be sold, either as of the closing or after a negotiated look-back period. As discussed above, however, in some cases, certain environmental risks or liabilities may be retained by a portfolio company. In such instances, a portfolio company will typically be required to set aside the amounts that are reasonably believed to be involved for the retained environmental risks (either through a third-party escrow with the seller or internally at the portfolio company level), and the portfolio company often strives to negotiate a cap or limit to aggregate retained liability associated with such environmental risks. Even though this cap is not necessarily available in all cases, many EnCap portfolio companies have been successful in achieving such limitations in connection with oil and gas asset sales.

48) How does the General Partner add value to portfolio companies?

EnCap's Investment Professionals seek to take an active role and effectively work in partnership with management teams in addressing strategic issues regarding capital structure, opportunity capture and exit alternatives. They engage in regular conversations and meetings with management. As has been the case in earlier funds, EnCap anticipates that it will control the boards of virtually all of the companies in which it invests.

Board Control. EnCap emphasizes risk management and seeks to advance capital incrementally as business plans are de-risked. The board of managers of each company reviews and approves capital and overhead budgets on a quarterly or more frequent basis, and EnCap controls capital exposure, hedging policies, and capital structures. EnCap has routine dialogue and strategy discussions with its portfolio companies to closely monitor results and development plans. Based on results, economics, and changing market dynamics, the Firm will quickly adapt development activity and capital budgets. EnCap's deal teams also monitor progress on ESG milestones and events at quarterly board meetings and on an ongoing basis, as well as through annual reporting at the EnCap level in close coordination with the Firm's Head of ESG.

Source and Evaluate Opportunities. The Investment Professionals work closely with the Firm's management teams to provide strategic advice and to evaluate new opportunities. In complex situations or ones involving significant acquisitions, EnCap will typically be involved in direct commercial negotiations, and as part of deal execution, EnCap will seek to understand the needs of sellers and embrace flexibility and problem solving to help facilitate transactions. Concurrently, EnCap's Technical Team collaborates with portfolio company technical leads and staff to provide analyses and interpretations of data that may be impactful to development assumptions and overall valuation considerations in any given targeted geographic area.

Exit. With board control, the Firm is provided the flexibility to ultimately dictate the timing and method of exit. The Firm stays up to date on material marketed processes and asset deal flow, which helps dictate timing of strategic exits for portfolio companies. When the board views it is time for a portfolio company to test the market, EnCap and the management team will typically interview investment banks and retain an advisor to conduct a marketed process. The Firm will ultimately look to monetize each investment based on its targeted return threshold, and if market conditions are unfavorable, EnCap will continue to build the asset base or wait for a more favorable environment.

49) Discuss the fund's exit strategies.

EnCap and its management teams work together to build businesses that are attractive in any market environment with an exit in mind. The Firm stays up to date on material marketed processes and asset deal flow, which helps dictate timing of strategic exits for portfolio companies. In the current market, buyers are selective and desire acquisitions that provide a combination of scale, free cash flow, and attractive development inventory. Business plans across the current EnCap portfolio are tailored to building these types of opportunity sets with substantial development activity occurring across the portfolio with the goal of building strong cash flowing companies. If the exit markets are not attractive at a certain time, the Firm's portfolio companies will seek to distribute excess free cash flow to EnCap's investors.

With board control, the Firm is provided the flexibility to ultimately dictate the timing and method of exit. When the board views it is time for a portfolio company to test the market, EnCap and the management team will typically interview investment banks and retain an advisor to conduct a

marketed process. The Firm will ultimately look to monetize each investment based on its targeted return threshold, and if market conditions are unfavorable, EnCap will continue to build the asset base or wait for a more favorable environment.

50) **Please describe the fund's methods for valuing restricted stock and other non-cash distributions.**

Although non-cash distributions are permitted in certain circumstances, EnCap has only made cash distributions to investors to date. Any such securities would be valued at Market Value (as such term is defined in the governing documents of Fund XII) and as approved by the LPAC.

51) **Have there been any late SEC filings made by the General Partner or any portfolio companies in the past three years?**

No.

52) **Please provide a list of investments with any debt securities or loans that are in default as of December 2022. Also, please indicate whether the default is payment or technical and provide detail on bank negotiations.**

There are none.

II. FUND MANAGEMENT AND ADMINISTRATION



ENCAP INVESTMENTS L.P.

Investment Staff Mark E. Burroughs, Jr. Ryan P. Devlin Brooks C. Despot George W. Purgason Bryan T. Stahl Connor J. Michelsen Michael P. Guenther B. Connor Mannon Andrew H. Perry Blake O. Provost	Leadership Jason M. DeLorenzo Douglas E. Swanson Jr. Kyle M. Kafka Brad A. Thielemann Charles W. Bauer	Fund Administration Craig P. Friou Robert H. Haier, Jr. Shamil Zuberi Melissa R. Standley Caleb B. Allen Leigh Anne Hooper Jason M. Morgan Cole J. Sanches John M. Stricker Jonathan E. Patrick Katherine M. Cangelosi Jane Q. Gu Ben Bryson Catharine F. Mixon Sarah Freeman Leslie K. Smith Jason L. Hajdik Joseph Anderson Sherri H. Spears Matt R. Tekulve Abdul Jiwani
Technical Team Jerry W. Smith Mitchell D. Hovendick Taylor A. McCay Reservoir Engineer [to be hired]	Founders / Senior Advisors Gary R. Petersen D. Martin Phillips Robert L. Zorich David B. Miller	
Investor Relations Matthew J. Crystal Kirby C. Richards		
Head of ESG Sophia Friese		

EnCap's day-to-day operations are led by two Managing Partners, Jason M. DeLorenzo and Douglas E. Swanson, Jr., with support from Partners Kyle M. Kafka and Brad A. Thielemann. Charles W. Bauer is also a Partner and leads EnCap's Investor Relations efforts. The Firm's four Founders, David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich continue to be active in an advisory role and also maintain an ownership position in EnCap. The EnCap Principals have an average 33 years of industry-related experience including an average 25-year tenure at EnCap. In addition to the EnCap Principals, EnCap has a strong and stable bench of highly qualified Investment Professionals and support staff including 10 professionals on the upstream Investment Staff, three professionals on EnCap's in-house Technical Team, two professionals in Investor Relations in addition to Mr. Bauer, a professional who spearheads all ESG efforts for EnCap, and a 21-person fund administration staff, which includes 11 certified public accountants. The Firm also plans to hire an additional reservoir engineer in early 2023 to supplement the Technical Team. The Firm believes the depth, experience, and continuity of its organization are among the key characteristics that distinguish EnCap in the energy investment space.

Managing Partners

Jason M. DeLorenzo (52) is a Managing Partner of EnCap. Prior to joining EnCap in 1999, Mr. DeLorenzo spent four years at ING Barings in New York working in Corporate Finance, specializing in the energy industry. Previously, he was an Associate in the Energy Group at Wells Fargo Bank based in Houston from 1993 to 1995. Mr. DeLorenzo received a Bachelor of Business Administration from The University of Texas at Austin. Mr. DeLorenzo serves on the board of

directors of several EnCap portfolio companies and is a member of the Independent Petroleum Association of America.

Douglas E. Swanson, Jr. (51) is a Managing Partner of EnCap. Prior to joining EnCap in 1999, Mr. Swanson spent three years as a corporate banker with Frost National Bank and Amegy Bank (formerly Southwest Bank of Texas). Mr. Swanson graduated from The University of Texas at Austin in 1994 with a Bachelor of Arts degree in Economics and also received his Master of Business Administration from University of Texas in 1999.

Mr. Swanson serves on the boards of directors of several EnCap portfolio companies. In addition, he is a member of the Independent Petroleum Association of America and the Texas Independent Producers and Royalty Owners Association. Mr. Swanson also is serving active roles in several philanthropic organizations throughout the City of Houston.

Partners

Kyle M. Kafka (41) is a Partner of EnCap. Prior to joining EnCap in July 2006, Mr. Kafka spent two years at First Albany Capital, where he worked in the Energy Investment Banking Group. Previously, Mr. Kafka spent a year at Amegy Bank of Texas, where he worked in the commercial banking department. Mr. Kafka received a Bachelor of Business Administration in Finance from The University of Texas at Austin.

Mr. Kafka serves on the board of directors of several EnCap portfolio companies and is a member of the American Petroleum Institute and the Independent Petroleum Association of America.

Brad A. Thielemann (46) is a Partner of EnCap. Prior to rejoining EnCap in September 2006, Mr. Thielemann worked in the Investor Relations and Strategic Planning Groups at Plains All American Pipeline, L.P. Previously, he was an Associate at EnCap from 2000 to 2003 and a Treasury Analyst at Dynegy. Mr. Thielemann received a Master of Business Administration from Duke University and a Bachelor of Business Administration from The University of Texas at Austin.

Mr. Thielemann serves on the board of directors of several EnCap portfolio companies and is a member of the Independent Petroleum Association of America.

Charles W. Bauer (51) is a Partner of EnCap and serves as head of investor relations and fundraising. Prior to joining EnCap in 2010, Mr. Bauer spent five years overseeing the investor relations and fundraising efforts of HM Capital Partners, a middle-market buyout firm based in Dallas, Texas. Previously, Mr. Bauer was Chief of Staff to U.S. Congressman Pete Sessions. Mr. Bauer received a Bachelor of Science from Texas Christian University and a Master of Business Administration from the McCombs School of Business at The University of Texas at Austin.

Founders/Senior Advisors

David B. Miller (72) is a Partner, Founder, and Senior Advisor of EnCap. Mr. Miller has been with EnCap since its inception and has played a critical role in all functions of the organization. Prior to the formation of EnCap, he served as Co-Chief Executive Officer of MAZE Exploration Inc., a Denver-based oil and gas company he co-founded in 1981. Mr. Miller began his professional career with Republic Bank, ultimately serving as Vice President and Manager of the bank's wholly owned subsidiary, Republic Energy Finance Corporation.

Mr. Miller holds Bachelor of Business Administration and Master of Business Administration degrees from Southern Methodist University and has received Distinguished Alumnus Awards from both Southern Methodist University and the Cox School of Business. He has been a member of the Board of Trustees at Southern Methodist University since 2008, currently serving as Chair. Mr. Miller is a member of the Board of Directors for the George W. Bush Foundation, and also serves on its Executive Committee. In 2004, Mr. Miller was appointed to the National Petroleum Council, an advisory body to the Secretary of Energy. Additionally, he is a member of the Independent Petroleum Association of America, the Texas Independent Producers and Royalty Owners Association, and the Dallas Wildcat Committee.

Gary R. Petersen (76) is a Partner, Founder, and Senior Advisor of EnCap. Mr. Petersen has been with EnCap since its inception and has played a critical role in all functions of the organization. Prior to the formation of EnCap, Mr. Petersen was a Senior Vice President and Manager of the Corporate Finance Division of the Energy Banking Group for Republic Bank and was an Executive Vice President and a member of the board of directors of Nicklos Oil & Gas Company in Houston. From 1970 to 1971, Mr. Petersen served in the U.S. Army in Washington, D.C. as a First Lieutenant in the Finance Corps and Army Officer in the Army Security Agency.

Mr. Petersen holds Bachelor of Business Administration and Master of Business Administration degrees in Finance from Texas Tech University and is a Distinguished Alumnus of Texas Tech. He is a member of the Independent Petroleum Association of America. Mr. Petersen is a minority owner and limited partner of the National Football League's Houston Texans and Major League Baseball's Houston Astros. Mr. Petersen is also a Chairman of the Energy Advisory Committee and on the Board of Directors of the Dallas Federal Reserve Bank, Houston Branch.

D. Martin Phillips (69) is a Partner, Founder, and Senior Advisor of EnCap. Mr. Phillips has been with the firm since January 1989 and has played a critical role in all functions of the organization. Prior to joining EnCap, Mr. Phillips served as a Senior Vice President and subsequently Manager of the U.S./International Division in the Energy Banking Group of NationsBank in Dallas, Texas. Mr. Phillips began his career with Republic Bank where he ultimately served in various senior energy banking positions in both Denver and Houston.

Mr. Phillips holds Bachelor of Science and Master of Business Administration degrees from Louisiana State University. He is a member of the LSU College of Business Hall of Distinction. He is a member of the Independent Petroleum Association of America and the American Petroleum Institute.

Robert L. Zorich (73) is a Partner, Founder, and Senior Advisor of EnCap. Mr. Zorich has been with EnCap since its inception and has played a critical role in all functions of the organization. Prior to the formation of EnCap, Mr. Zorich was a Senior Vice President in charge of the Houston office of Trust Company of the West, a large, privately-held pension fund manager. Earlier in his career, Mr. Zorich co-founded and served as Co-Chief Executive Officer of MAZE Exploration Inc. and worked at Republic Bank as a Vice President and Division Manager in the Energy Department.

Mr. Zorich received his Bachelor of Arts in Economics from the University of California at Santa Barbara. He also received a Master's Degree in International Management (with distinction) from the American Graduate School of International Management in Phoenix, Arizona. He is a member

of the Independent Petroleum Association of America and Texas Independent Producers and Royalty Owners Association.

Investment Staff

Mark E. Burroughs, Jr. (47) is a Managing Director of EnCap. Prior to joining EnCap in March 2007, Mr. Burroughs spent four years in UBS Investment Bank's Global Energy Group working on capital markets transactions and M&A advisory assignments. Prior to joining UBS, Mr. Burroughs spent three years at Sanders Morris Harris, Inc., an investment banking firm. Mr. Burroughs received a B.A. in Economics from The University of Texas at Austin and a Master of Business Administration from Rice University.

Mr. Burroughs serves on the board of directors of several EnCap portfolio companies and is a member of the Independent Petroleum Association of America.

Ryan P. Devlin (42) is a Managing Director of EnCap. Mr. Devlin serves on the board of directors of several EnCap portfolio companies, including Black Swan Oil & Gas, Grenadier Energy Partners III, Piedra Energy IV, Piedra Energy III, PetroLegacy Energy, and Sabalo Energy II. Prior to joining EnCap in August 2005, Mr. Devlin spent two years at Amegy Bank of Texas, where he last served as a Banking Officer for its commercial banking department. Mr. Devlin received an A.B. in Business Economics from Brown University. He is a member of the Independent Petroleum Association of America.

Brooks C. Despot (37) is a Director of EnCap. Mr. Despot serves on the board of directors of Black Swan Oil & Gas, EnCap Minerals, and Pegasus Resources II. Prior to rejoining EnCap in August 2014, Mr. Despot was the VP-Finance and CFO of Escondido Resources II, an EnCap-backed portfolio company. During his time at Escondido II, Mr. Despot played an integral role in the strategic merger of Escondido II with another EnCap-backed portfolio company. Prior to Escondido II, Mr. Despot was an Associate at EnCap from 2009 to 2013. Mr. Despot holds a B.B.A. in Management from Louisiana State University, where he graduated cum laude, and an M.B.A. from Vanderbilt University's Owen Graduate School of Management. Mr. Despot serves on the executive board of Small Steps Nurturing Center, a nonprofit organization providing education to at-risk children in Houston and is a member of the Independent Petroleum Association of America.

George W. Purgason (36) is a Director of EnCap. Mr. Purgason serves on the board of directors of Encino Environmental Services, Novo Oil & Gas Holdings, and Silverback Exploration II. Prior to joining EnCap in July 2012, Mr. Purgason spent three years at Anadarko Petroleum Corporation. While at Anadarko, Mr. Purgason worked in multiple U.S. basins as a Production Engineer and most recently as a Reservoir Engineer. Mr. Purgason holds a B.S. in Petroleum Engineering from The University of Texas at Austin and an M.B.A. from Rice University. Mr. Purgason is a member of the Independent Petroleum Association of America and the Society of Petroleum Engineers.

Bryan T. Stahl (36) is a Director of EnCap. Mr. Stahl serves on the board of directors of EnCap Minerals, Grayson Mill Energy II, Paloma Natural Gas, Pegasus Resources II, and XCL Resources. Prior to joining EnCap in July 2012, Mr. Stahl spent three years with the Global Energy Investment Banking Group at Citigroup, where he focused on public capital raises and M&A advisory work within the energy industry. Mr. Stahl holds a B.S. in Commerce from the McIntire

School at the University of Virginia. During his time at Virginia, he was an All-American swimmer and competed in the 2008 U.S. Olympic Trials. He is a member of the Independent Petroleum Association of America.

Connor J. Michelsen (30) is a Vice President of EnCap. Prior to joining EnCap in June 2018, Mr. Michelsen spent two years working in the Energy Investment Banking Group at Jefferies in Houston, where he focused on acquisition and divestiture work and private capital raises within the energy industry. Mr. Michelsen graduated from Princeton University, where he received a Bachelor of Arts degree in Economics and was a quarterback on the football team.

Michael P. Guenther (29) is an Associate of EnCap. Prior to joining EnCap in July 2019, Mr. Guenther spent two years working in the Global Energy Investment Banking Group at Citigroup in Houston, where he focused on M&A advisory work and public capital raises within the energy industry. Mr. Guenther began his career as a petroleum engineer with Southwestern Energy. He received a Master of Energy Economics from Rice University and holds a B.S. in Petroleum Engineering from the University of Texas at Austin.

B. Connor Mannon (30) is an Associate of EnCap. Prior to joining EnCap in September 2020, Mr. Mannon spent three years working in the Energy Investment Banking Group at Wells Fargo in Houston, where he focused on acquisition & divestiture work and private capital raises within the energy industry. Mr. Mannon holds a Bachelor of Science in Geosystems Engineering & Hydrogeology and a Master of Science in Finance from The University of Texas at Austin.

Andrew H. Perry (29) is an Associate of EnCap. Prior to joining EnCap in January 2021, Andrew Perry spent four years working in the Energy Investment Banking Group at Tudor, Pickering, Holt in Houston, where he focused on A&D and M&A advisory work within the energy industry. Mr. Perry graduated from Southern Methodist University, where he received Bachelor of Arts degrees in both Finance and Geology with an energy concentration.

Blake O. Provost (28) is an Associate of EnCap. Prior to joining EnCap in July 2022, Mr. Provost spent two and half years working in the Natural Resource and Infrastructure Investment Banking Group at Société Générale in Houston, where he focused on project/structured finance, debt advisory, and private capital raises across the entire energy value chain centered in both the U.S. and Latin America jurisdictions. Mr. Provost began his career at the Office of the Comptroller of the Currency, Wells Fargo Corporate and Investment Banking Group. He holds a Bachelor's in Business Administration in Finance and a Master's in Business Administration with a double concentration in Accounting and Finance from the University of Texas A&M – Corpus Christi.

Technical Team

Jerry W. Smith (43) is a Managing Director of EnCap and has over 20 years of petroleum engineering and upstream investment experience with experience working with major oil and gas companies, investment banking, and private equity. At EnCap, Mr. Smith has led the technical team (engineering and geoscience) for the past seven years, working closely with the Investment Staff to evaluate new opportunities and actively monitor asset performance for EnCap portfolio companies. Prior to joining EnCap, Mr. Smith was a Managing Director and Co-Founder of Evercore's Acquisitions & Divestitures practice in Houston. For more than four years at Evercore, he led a technical team that advised on dozens of energy transactions totaling more than \$50

billion. Mr. Smith began his career with ExxonMobil as a petroleum engineer where he spent five years leading a variety of conventional and unconventional oil and gas development programs across major U.S. basins. Mr. Smith graduated summa cum laude with a B.S. in Chemical Engineering from The University of Tennessee and also received his M.B.A. from The University of Texas at Austin.

Mitchell D. Hovendick (66) is a Director of EnCap. Prior to joining EnCap in 1997, Mr. Hovendick spent 15 years as a Petroleum Engineer with Phillips Petroleum Company, where he worked primarily as a reservoir engineer in almost all major basins within the United States. Mr. Hovendick received a B.S. in Chemical Engineering from Texas A&M University and an M.B.A. in Finance from Rice University. He is a registered professional petroleum engineer, as well as a member of the Society of Petroleum Engineers.

Taylor A. McCay (39) is a Director of EnCap. In addition to building and maintaining cutting edge Geologic databases across active basins in North America, Mr. McCay works closely with both EnCap's investment staff and professionals at EnCap's portfolio companies to provide subsurface expertise. Prior to joining EnCap in May 2016, Mr. McCay worked as a Senior Geologist responsible for the drilling, management, and development of assets in the Mid-Continent for Gatar Exploration, Inc. from 2011 through 2016. In his time there, he participated in the development of more than 70 horizontal wells as both an operator and non-operator. Prior to Gatar, Mr. McCay worked at Drillinginfo Inc. from 2007 through 2011 and previously worked as a geologist at Krescent Energy, LLC and ASRC Energy Services. Mr. McCay graduated summa cum laude with a B.S. in Geological Sciences from the University of North Carolina at Chapel Hill, where he also competed on the wrestling team. He is a member of the American Association of Petroleum Geologists.

Investor Relations

Matthew J. Crystal (47) is a Managing Director of investor relations and fundraising for EnCap. Previously, Mr. Crystal was an Associate at EnCap, working on the investment side of the business. Prior to joining EnCap in January 2008, Mr. Crystal served as a Vice President in the commercial lending department at Amegy Bank of Texas, focusing on real estate-related development companies. Mr. Crystal holds a Bachelor of Arts in Government from The University of Texas at Austin and a Master of Business Administration in Finance from Rice University.

Kirby Richards (29) is a Vice President of investor relations and fundraising for EnCap. Prior to joining EnCap in November 2021, Ms. Richards spent two and a half years at Macquarie Capital. She split her time between the Energy Principal team and the Advisory team within the Infrastructure & Energy Group in Houston. She also spent approximately two years in Scotiabank's Power & Utilities Investment Banking Group in New York focusing on M&A advisory, and approximately two years in Prudential Capital Group's Energy Finance Group in Dallas as an investment analyst focused on project finance in the power sector. Ms. Richards holds a Bachelor of Business Administration in Finance from Texas Christian University and is also a CFA Charterholder.

ESG

Sophia Frieze (33) is the Head of ESG for EnCap. Prior to transitioning to this position in 2021, Ms. Frieze was an Associate of investor relations and fundraising for EnCap. Prior to joining EnCap in 2018, Ms. Frieze spent five years working at J.P. Morgan. She spent three years in the Corporate Client Banking Group in Houston, working on syndicated leveraged credit facilities in the energy sector. She also spent two years in the Investment Banking Group in New York, focusing on M&A advisory and public capital raises in the consumer retail sector. Ms. Frieze holds a Bachelor of Business Administration in Accounting from The University of Texas at Austin and a Master of Business Administration from Rice University.

Information Security

Shamil Zuberi (42) is Chief Information Officer of EnCap. Prior to joining EnCap in 2019, Mr. Zuberi served for more than 15 years in the IT industry working primarily as a Technology Strategist. Most recently, he worked as a V.P. of Consulting Services for eConsortium, a Microsoft Gold Partner and was responsible for managed services practice with a heavy focus in the oil and gas space. Mr. Zuberi has a Bachelor of Business in IT from Beaconhouse Informatics. He is a Microsoft Certified Professional along with certifications in Security and Cloud Infrastructure.

Matt R. Tekulve (65) is an IT Manager of EnCap. Prior to joining EnCap on a full-time basis in 2020, Mr. Tekulve worked with EnCap in a consulting role beginning in 2011. Mr. Tekulve brings more than 30 years of IT infrastructure, software, and systems experience to EnCap, having previously worked in the utilities and infrastructure industries as an IT Manager, system analyst, software developer, and support technician.

Abdul Jiwani (32) is an IT Manager of EnCap. Prior to joining EnCap in 2021, Mr. Jiwani has worked in both the IT industry and consulting for 9 years primarily in roles of system administration and infrastructure support. Most recently, he worked as Infrastructure/Cloud Engineer at US Med-Equip, a private company based in Houston that provides the highest quality moveable medical equipment (MME) to top hospitals across the nation. Mr. Jiwani has a Bachelor of Science in Computer Science from the University of Houston and various Microsoft, VMware, and Cisco certifications in IT infrastructure.

Fund Administration

Craig P. Friou (49) is Chief Financial Officer of EnCap. Prior to joining EnCap in August 2019, Craig spent 23 years in client service at PwC in Houston, Aberdeen (UK) and Dallas. His clients primarily included public and private equity backed independent E&P and oilfield services companies. He was in the audit practice for 21 years before joining Transaction Services where he helped private companies go public and worked with public companies' registration statements required for capital raising, M&A and asset acquisitions. Mr. Friou graduated from The University of Texas at Austin with a Bachelor of Business Administration and also received a Master in Professional Accounting from The University of Texas.

Craig is widely regarded as a subject matter expert in the oil and gas industry. He was a key contributor to the development of the Petroleum Accounting 7th Edition textbook and to the U.S. PwC Survey of U.S. Petroleum Accounting Practices. Craig is also a founding member of the Planning Committee for the AICPA/PDI National Oil and Gas Conference.

Craig also spent 7 years developing the content for and presenting at PwC's Petroleum Academy and served as a guest lecturer at the UT- Dallas in Oil & Gas Financial Management.

Outside of work, Craig is a dedicated volunteer and avid supporter of local organizations. He is a member of the Rotary Club of West U for which he has been a director and also a fundraiser for the Rotary Lombardi Award, supporting the fight against cancer. He also serves on the boards of Institute of Hispanic Culture and Youth Development Center (YDC).

Compliance

Robert H. Haier, Jr. (58) is Chief Compliance Officer & Senior Advisor of EnCap. Mr. Haier joined EnCap in March 1997 and served as the Chief Financial Officer from 2003 through the end of 2020. Prior to joining EnCap in 1997, Mr. Haier served in public accounting for 10 years, with the last seven years in the Price Waterhouse Energy Group. As a Senior Manager, Mr. Haier was responsible for providing audit and business advisory services primarily to integrated energy and independent oil and gas companies. Mr. Haier also served in the Price Waterhouse Corporate Finance Group, where he focused on transaction support and investment advisory services.

Mr. Haier is a Certified Public Accountant and a Certified Management Accountant and holds a Bachelor of Business Administration in Accounting from The University of Texas at Austin. He is a member of the American Institute of Certified Public Accountants, the Institute of Certified Management Accountants, and the Independent Petroleum Association of America.

Human Resources

Sherri H. Spears (53) is Human Resources and the Executive Assistant to the CFO, CCO and CIO. Prior to joining EnCap in September of 2010, Mrs. Spears spent ten years recruiting and consulting in the staffing industry serving Fortune 500 and privately held companies in the Houston area. Mrs. Spears studied music at Stephen F. Austin State University and Houston Baptist University and earned her SHRM-CP certification in 2019. She is a member of Society for Human Resource Management, HR Houston and Women's Energy Network Houston Chapter.

Tax Reporting

Melissa R. Standley (50) is the Head of Tax of EnCap. Prior to joining EnCap in March 2008, Ms. Standley served in the corporate tax department of Tesco Corporation, an oilfield services company. Previously, from 2001 to 2006, she was the Tax Director of BindView Corporation, a publicly traded software company. While at BindView, Ms. Standley was responsible for the company's worldwide tax planning, compliance, and reporting. She began her career in public accounting with PricewaterhouseCoopers. Ms. Standley received a Bachelor of Business Administration in Accounting and a Master in Professional Accounting from The University of Texas at Austin and is a Certified Public Accountant. She is a member of the American Institute of Certified Public Accountants and the Texas Society of CPAs.

Caleb B. Allen (41) is the Tax Senior Manager of EnCap. Prior to joining EnCap in August 2012, Mr. Allen served as a Tax Manager with PricewaterhouseCoopers and has over eight years of experience in public accounting. While at PricewaterhouseCoopers, Mr. Allen worked primarily on the EnCap tax compliance engagement and other upstream oil and gas partnership tax

compliance engagements. Mr. Allen received a Bachelor of Business Administration in Accounting from Baylor University and is an Enrolled Agent.

Joseph Anderson (31) is the Tax Senior Manager of EnCap. Prior to joining EnCap in January 2023, Mr. Anderson served as a Senior Tax Manager with PricewaterhouseCoopers and has over eight years of experience in public accounting. Mr. Anderson's career has been focused on private equity and financial services, tax consulting, and compliance. Mr. Anderson graduated from Texas A&M University with a Master of Science in Accounting and a Bachelor of Business Administration in Accounting. He is a Certified Public Accountant.

Leigh Anne Hooper (31) is the Tax Manager of EnCap. Prior to joining EnCap in July 2016, Ms. Hooper spent two years working at Ernst & Young, where she focused on federal and state tax compliance and provisions for clients in a variety of industries. Ms. Hooper graduated Magna Cum Laude from Texas A&M University with a Master of Science in Finance and a Bachelor of Business Administration in Accounting and Business Honors. She is a Certified Public Accountant and a member of the American Institute of Certified Public Accountants.

Sarah Freeman (33) is the Tax Database Administrator of EnCap. Prior to joining EnCap in January 2022, Ms. Freeman was the Fund Administrator for Hand Benefits & Trust Company. Prior to that, she spent five years working in various roles such as accounting, office management, sales, and human resources. Ms. Freeman's primary duties with EnCap are assisting the tax team. Ms. Freeman holds a Bachelor of Business Administration from the University of the Incarnate Word.

Leslie Smith (58) is the Legal & Compliance Administrator of EnCap. Prior to joining EnCap in June 2021, Ms. Smith served as a Senior Paralegal in Corporate & Securities at Thompson & Knight LLP from 1998 to 2012 and from 2019 to 2021. From 2012 to 2019, she served in the roles of Senior Paralegal in Legal, Corporate Services, and Compliance Coordinator (Senior Compliance Analyst) in Global Compliance at Noble Energy, Inc. Ms. Smith received a Bachelor of Science in Business Management from the University of Phoenix, and she is a Certified Fraud Examiner (CFE) and a Certified Compliance & Ethics Professional (CCEP). Ms. Smith is a member of the Paralegal Division of the State Bar of Texas, the Association of Certified Fraud Examiners, and the Society of Corporate Compliance and Ethics.

Fund Reporting

Jason M. Morgan (43) is the Director of Accounting and Financial Reporting of EnCap. Prior to joining EnCap in January 2011, Mr. Morgan served as an Audit Manager with PricewaterhouseCoopers and has over eight years of experience in public accounting. While at PricewaterhouseCoopers, Mr. Morgan worked primarily on the audits of financial services companies, performing United States Generally Accepted Accounting Principles ("GAAP") and statutory financial statement audits. Mr. Morgan received a Bachelor of Business Administration in Accounting and a Master in Professional Accounting from The University of Texas at Austin and is a Certified Public Accountant. He is a member of the American Institute of Certified Public Accountants and the Texas Society of CPAs.

Cole Sanches (39) is the Senior Vice President of Financial Reporting of EnCap. Prior to joining EnCap in July 2014, Mr. Sanches served as an Audit Manager with PricewaterhouseCoopers and has over seven years of experience in public accounting. While at PricewaterhouseCoopers, Mr. Sanches worked primarily on the audits of integrated energy and financial services companies, performing IFRS, U.S. GAAP and statutory financial statement audits. Mr. Sanches received a Bachelor of Business Administration and a Master in Professional Accounting from The University of Texas at Austin and is a Certified Public Accountant. He is a member of the American Institute of Certified Public Accountants.

John M. Stricker (55) is a Senior Accountant of EnCap. Prior to joining EnCap in February 2000, Mr. Stricker spent a combined six years with Randalls Food Markets, Inc. and Sysco Corporation in the financial reporting area. Mr. Stricker's primary duties with EnCap include fund and investor reporting for each of the investment funds. He holds a Bachelor of Business Administration in Accounting from the University of Houston and is a Certified Public Accountant.

Treasury/Operations

Jonathan E. Patrick (42) is the Controller of EnCap. Prior to joining EnCap in January 2013, Mr. Patrick spent over five years in public accounting, including time at Deloitte in the company's Audit and Enterprise Risk Services practice. In addition, Mr. Patrick has experience in the Treasury and SEC Financial Reporting functions at Ares Management in Los Angeles. Mr. Patrick received a Bachelor of Business Administration in Accounting and a Master in Professional Accounting from The University of Texas at Austin and is a Certified Public Accountant.

Katherine M. Cangelosi (44) is the Assistant Controller of EnCap. Prior to joining EnCap in July 2008, Ms. Cangelosi served as an Accounting Assistant with Mid-South Telecommunications Company, Inc. from 1997 to 2008. In this capacity, she handled various accounting and reporting duties for the Harry E. Bovay, Jr. Foundation, S&A Telephone Company, Bovista Real, Inc., and Mid-South Telecommunications Company, Inc. Ms. Cangelosi received a Bachelor of Business Administration in Marketing and a Master of Business Administration in Finance and International Business from the University of St. Thomas in Houston, Texas. She is a member of the Women's Energy Network Houston Chapter.

Jane Q. Gu (51) is a Senior Accountant of EnCap. Prior to joining EnCap in February 2016, Ms. Gu spent three years at Atlantic Trading and Marketing, where she managed the company's financials, treasury functions, and reporting. Previously, she worked at SBM Offshore N.V. and Peabody Energy Corporation as a senior accountant and served in public accounting in the financial audit area, for a combined eight years. Ms. Gu is a Certified Public Accountant and holds a Master of Science in Accounting from Saint Louis University.

Ben Bryson (29) is a Treasury Accountant of EnCap. Prior to joining EnCap in January 2022, Mr. Bryson worked three years in public accounting at PricewaterhouseCoopers as a Senior Associate. While at PricewaterhouseCoopers, Mr. Bryson worked primarily on Asset and Wealth Management engagements, including the EnCap audit engagement as well as other private equity and specialized fund engagements. Previously, he worked in the banking and credit union industry in a variety of cash management and treasury roles. He holds a Bachelor of Science in Accounting from the University of Utah.

Catharine F. Mixon (25) is a Treasury Accountant of EnCap. Prior to joining EnCap in November 2022, Ms. Mixon served as a Tax Senior with Deloitte where she spent two years in the Business Tax Services group. While at Deloitte, Ms. Mixon focused on federal compliance and provisions for corporations and partnerships in a variety of industries. Ms. Mixon graduated from the University of Mississippi where she received a Master in Accountancy and a Bachelor of Accountancy. She is a Certified Public Accountant.

Fund Valuations

Jason L. Hajdik (40) is a Director of EnCap. Prior to joining EnCap in September 2012, Mr. Hajdik worked at BMO Capital Markets and Madison Williams & Company (formerly Sanders Morris Harris, Inc.). At BMO, he worked as an investment banking associate, and at Madison Williams he worked as an E&P equity research associate. Previously, he spent four years as a Process Engineer at S&B Engineers & Constructors, Ltd. Mr. Hajdik holds a Bachelor of Science in Chemical Engineering from the University of Texas at Austin and a Master of Business Administration from Vanderbilt University's Owen Graduate School of Management.

III. SUMMARY OF PRINCIPAL TERMS

The following summary is qualified in its entirety by the final terms of the Agreement of Limited Partnership governing the Partnership.

The Partnership: This Memorandum relates to the offering of limited partner interests (“**Interests**”) in EnCap Energy Capital Fund XII, L.P., a Delaware limited partnership (the “**Partnership**”).

The limited partnership agreement the Partnership is referred to as the “**Partnership Agreement**.”

The General Partner and the Manager: EnCap Equity Fund XII GP, L.P., a Delaware limited partnership (the “**General Partner**”), will be the sole general partner of the Partnership.

EnCap Equity Fund XII GP LLC, a Delaware limited liability company, will be the sole general partner of the General Partner.

EnCap Investments L.P., a Delaware limited partnership (the “**Manager**”) and together with its affiliates “**EnCap**”) will manage the Partnership pursuant to a management agreement with the General Partner and the Partnership.

Jason M. DeLorenzo and Douglas E. Swanson, Jr. (the “**Key Persons**”) are managing partners and principal owners of EnCap.

Kyle M. Kafka, Brad A. Thielemann, and Charles Bauer (the “**EnCap Partners**”) are partners of, and maintain an ownership position in, EnCap.

David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich (the “**Senior Advisors**”) maintain an ownership position in EnCap and will continue their service to EnCap in advisory roles.

All Key Persons, EnCap Partners, and Senior Advisors are referred to as the “**Principals**.”

EnCap’s and the Manager’s offices are at 9651 Katy Freeway, Suite 600, Houston, TX 77024.

Investment Focus: The primary objective of the Partnership in pursuing its venture capital strategy will be to make privately negotiated equity and equity-related investments in independent companies whose underlying assets may include oil and gas reserves and related infrastructure (the “reserve-related” sector of the oil and gas industry) and to generate superior returns through capital appreciation over a three- to five-year period.

The companies in which the Partnership invests are referred to as “**Portfolio Companies**.” The Partnership will focus primarily on investments of between \$200 million and \$800 million with proven

management teams whose principal objective is the acquisition and/or development of oil and gas assets in North America. The Partnership also will have the ability to invest up to 15% of the Commitments in companies: (a) whose asset base is outside of North America; or (b) which are engaged in the energy industry, but outside of the reserve-related sector. The Partnership may, from time to time, participate in midstream or other energy infrastructure or energy transition investment opportunities as a co-investor with EnCap Flatrock Midstream Fund IV, EnCap Flatrock Midstream Fund V, EnCap Energy Transition Fund I, and EnCap Energy Transition Fund II (or any successor funds to the foregoing) when the capital commitment associated with such investment opportunity is substantial and in excess of what the energy infrastructure/midstream or the energy transition funds can reasonably fund on their own.

The Partnership's objective is a blended compound annual gross internal rate of return ("**IRR**") of at least 25%, a gross return on invested capital ("**ROI**") of at least 2.0x, a net IRR of at least 20%, and a net ROI of at least 1.75x.

**Capital
Commitments:**

The Partnership is seeking total capital commitments ("**Commitments**") of \$4 billion from qualified institutional investors. Investors admitted to the Partnership are referred to as "**Limited Partners**" and, together with the General Partner, as "**Partners.**"

**Minimum
Commitment:**

The minimum Commitment of a Limited Partner will be \$10 million, although Commitments of lesser amounts may be accepted at the discretion of the General Partner.

**Sponsor
Commitment:**

Affiliates of the General Partner and the Manager will make a Commitment at least equal to 3% of aggregate Commitments. The Senior Advisors will separately make an additional Commitment of at least \$17.75 million. Such affiliates and the Senior Advisors are referred to as "**Related Limited Partners.**" Related Limited Partners will not bear Management Fees or Carried Interest (each as defined below). Limited Partners other than the Related Limited Partners are referred to as "**Investor Limited Partners.**"

LP Percentages:

With respect to matters requiring the vote or consent of the Investor Limited Partners, an Investor Limited Partner's "**LP Percentage**" shall be equal to such Investor Limited Partner's Commitment divided by the aggregate Commitments of all Investor Limited Partners.

Closings:

The General Partner intends to hold an initial closing (the "**Initial Closing**") as soon as practicable. Additional closings to admit new

Limited Partners may occur for a period of 18 months following the Initial Closing. The final closing is referred to as the “**Final Closing**.”

Commitment Period:

The “**Commitment Period**” will end on the earlier of (a) the fifth anniversary of the date of the Final Closing or (b) such time as at least 100% of Commitments have been invested, committed or reserved (including amounts reserved for reasonably anticipated expenses of the Partnership and Management Fees). After the Commitment Period, the General Partner may draw down Commitments only to the extent necessary: (i) to cover expenses and obligations of the Partnership, including Management Fees; (ii) for a period of 12 months following the expiration of the Commitment Period, to cover any new investments as to which, prior to the end of the Commitment Period, the Partnership has signed a letter of intent (or similar instrument) or definitive agreement; and (iii) for any follow-on investment in any Portfolio Company existing at the end of the Commitment Period or made thereafter pursuant to (ii) above (each permitted investment referred to in (ii) or (iii), an “**Existing Investment**”). If the General Partner determines that a portion of the unpaid Commitments reserved to fund an Existing Investment may not be used, the General Partner may reallocate such amount to another Existing Investment.

Term:

The term of the Partnership will be 10 years commencing on the date of the Final Closing, but may be extended for up to a maximum of two consecutive one-year periods at the election of the General Partner and approval of the LPAC (as defined below) to permit orderly dissolution. Any extension after 12 years would require approval by Investor Limited Partners whose LP Percentages equal or exceed 66 ⅔%.

Drawdowns:

The General Partner will draw down Commitments as needed with not less than 10 business days’ prior written notice. Drawn down Commitments are referred to as “**Capital Contributions**.”

The initial drawdown for each Limited Partner will include such Limited Partner’s proportionate share of: (a) Management Fees retroactive to the Initial Closing or the date of the first investment, as applicable; (b) organizational and other expenses attributable to the Partnership; and (c) the original cost of any Portfolio Company investment made at or prior to such drawdown. In addition, Limited Partners admitted after the Initial Closing (“**Additional Limited Partners**”) will be required to pay to the Partnership: (i) interest at the prime rate on Management Fees retroactive to the initial funding date or the date of the first investment, as applicable; (ii) interest at the rate of 8% per annum on their proportionate share of organizational and other expenses attributable to the Partnership from the date Capital Contributions were payable by the Limited Partners that made Capital Contributions prior to the admission

of the Additional Limited Partner in respect of such expenses to the date of payment of such Additional Limited Partner's first Capital Contribution; and (iii) interest at the rate of 8% per annum on their proportionate share of the original cost of any Portfolio Company investment made prior to such drawdown from the date Capital Contributions were payable by the Limited Partners that made Capital Contributions prior to the admission of the Additional Limited Partner to fund such investment to the date of payment of such Additional Limited Partner's first Capital Contribution. Any amounts paid to the Partnership under (a) and (i) above will be paid to the Manager or prior Investor Limited Partners, as applicable. Any amounts paid to the Partnership under (ii) and (iii) above will be distributed to the Limited Partners that participated in prior closings. Any amounts paid to the Partnership under (b) and (c) above will be applied to future capital calls or distributed to the Partners that made Capital Contributions prior to the admission of the Additional Limited Partner and increase those Partners' unpaid Commitments and decrease those Partners' Capital Contributions.

Any drawdown for an investment not consummated by the Partnership or in excess of the amount needed to consummate such investment will be returned to the Limited Partners within 90 days after the date on which such drawdown is due. Any such returned drawdown will be added to unpaid Commitments and will be subject to recall by the Partnership thereafter.

Default:

A Limited Partner that defaults on any required payment in respect of its Commitment will be subject to certain remedies specified in the Partnership Agreement, including (a) the loss of the right to participate in any vote or consent required under the Partnership Agreement, (b) a 100% reduction in such Limited Partner's unpaid Commitment, or (c) a forced sale of its interest in the Partnership.

**Diversification and
Other Investment
Limitations:**

The Partnership will not invest more than 20% (or with the prior approval of the LPAC, 25%) of aggregate Commitments in any single Portfolio Company.

The Partnership will not, without the prior approval of the LPAC, (a) invest more than 15% of aggregate Commitments outside North America and, separately, (b) invest more than 15% of aggregate Commitments outside the Investment Focus described above.

Prior to the Final Closing, for purposes of compliance with the investment restrictions set forth above and other similar limitations in the Partnership Agreement, aggregate Commitments will be deemed to be the greater of actual aggregate Commitments and \$4 billion, in each case, immediately following the relevant investment.

Borrowings:	The Partnership may incur leverage within the following limitations. The Partnership may borrow to bridge capital calls. The maturity date of each borrowing will not be more than 90 days from the date of borrowing, unless approved by the LPAC. The aggregate amount of such borrowings outstanding at any time will not exceed \$400,000,000.
Limited Partner Advisory Committee:	The General Partner will establish an advisory committee composed of selected representatives of Limited Partners (exclusive of the Related Limited Partners) (the “LPAC”) which after the Final Closing shall consist of at least five but no more than eleven individuals. The LPAC will advise the General Partner regarding conflicts of interest and such other issues or matters as the General Partner may bring before the LPAC or as may be contemplated by the Partnership Agreement. Members of the LPAC will serve without compensation, although the Partnership will reimburse the members for all reasonable out-of-pocket expenses incurred by them in attending meetings and otherwise as a result of their service on the LPAC. Members of the LPAC will also be entitled to the benefit of certain indemnification and exculpation provisions set forth in the Partnership Agreement. Any action to be taken by the LPAC will be authorized by a majority of its members then holding office, exclusive of any member abstaining or recusing himself or herself from a vote on such action. Approval by the LPAC of any conflict or potential conflicts will constitute the approval of the Partnership and the Limited Partners.
Reinvestment of Proceeds:	Any return of capital distributed or distributable to the Limited Partners during the Commitment Period, may, at the election of the General Partner, be reinvested in new or existing Portfolio Companies, provided that the aggregate amount reinvested may not exceed 50% of aggregate Commitments without the prior approval of the LPAC. If such proceeds have been distributed by the Partnership, the amounts so distributed will be added to unpaid Commitments and subject to recall by the Partnership.
Distributions:	Net proceeds attributable to the disposition of any investment in any Portfolio Company, as well as distributions of securities or other assets in kind, together with any dividends or interest income received with respect to investment in any Portfolio Company, will initially be apportioned among the Limited Partners in proportion to their participation in such investment. The amount apportioned to each Related Limited Partner will be distributed to such Related Limited Partner and the amount apportioned to each Investor Limited Partner will be distributed as follows:

- (a) first, 100% to such Investor Limited Partner until the cumulative amount distributed under this paragraph equals the aggregate Capital Contributions made by such Investor Limited Partner to date;
- (b) second, 100% to such Investor Limited Partner until such Investor Limited Partner has received a preferred return on the amount described in (a) above equal to an 8% internal rate of return, compounded annually, from their respective drawdown dates;
- (c) third, 80% to the General Partner and 20% to such Investor Limited Partner until such time as the General Partner has received distributions attributable to such Investor Limited Partner equal to 20% of the excess of (i) the cumulative amounts distributed to such Investor Limited Partner and to the General Partner attributable to such Investor Limited Partner over (ii) the Capital Contributions of such Investor Limited Partner as described in (a) above; and
- (d) fourth, 80% to such Investor Limited Partner and 20% to the General Partner.

The amounts distributed to the General Partner pursuant to (c) and (d) above are referred to as “**Carried Interest**” or “**Carried Interest Distributions.**”

All short-term interest income, other than short-term interest income received from investments in Portfolio Companies, will be distributed 100% to the Limited Partners in proportion to funded Commitments, and such amounts will not be considered in determining the Carried Interest of the General Partner.

Other than for tax, regulatory or legal reasons, the Partnership will distribute net cash proceeds from the disposition of Portfolio Company investments, together with any dividends or interest income earned from such investments, as soon as reasonably practicable after receipt by the Partnership, less such amounts as the General Partner determines necessary to meet Partnership expenses, obligations, and liabilities, and to establish appropriate reserves for such expenses, obligations, and liabilities.

The General Partner will be entitled to withhold from any distribution amounts necessary for any required tax withholdings or payments and to net distributions against, or require prompt payment in respect of, any outstanding amounts owed by any Partner.

Distributions prior to the termination of the Partnership may only take the form of cash or marketable securities. Upon termination of the

Partnership, distributions may also include restricted securities or other assets of the Partnership.

Clawback:

Upon termination of the Partnership, if either (a) the General Partner has received Carried Interest Distributions in respect of any Investor Limited Partner that exceed 20% of (i) the Partnership's distributions to such Investor Limited Partner plus total Carried Interest Distributions received by the General Partner in respect of such Investor Limited Partner minus (ii) the Capital Contributions made by such Investor Limited Partner to the Partnership ("**Excess Carried Interest Distributions**"); or (b) any Investor Limited Partner has received distributions that are less than such Investor Limited Partner's Capital Contributions plus its preferred return (a "**Preferred Return Shortfall**"), then the General Partner is required to contribute to the Partnership an amount equal to the greater of the Excess Carried Interest Distributions or the Preferred Return Shortfall, but in no event in excess of the Carried Interest Distributions received by the General Partner net of taxes.

The Principals will provide several guaranties of their proportionate share of the General Partner's clawback obligation.

**Limited Partner
Giveback:**

Subject to certain limitations contained in the Partnership Agreement, the General Partner may require a Limited Partner to return distributions made to such Limited Partner by the Partnership for the purpose of meeting such Limited Partner's pro rata share of the Partnership's indemnity or other obligations, whether such obligations arise before or after the last day of the term of the Partnership or, with respect to any Limited Partner, before or after such Limited Partner's withdrawal, provided that a Limited Partner's liability to return such distributions shall not exceed the lesser of 25% of such Limited Partner's Commitment or 25% of the total distributions received by such Limited Partner.

**Allocation of
Income, Expenses,
Gains and Losses:**

The Partnership will establish and maintain a capital account for each Partner (a "**Capital Account**"). Income, expenses, gains, and losses of the Partnership will generally be allocated to the Partners' Capital Accounts in a manner consistent with the distribution of proceeds described above.

Management Fee:

The Partnership will pay the Manager an annual management fee (the "**Management Fee**") with respect to each Investor Limited Partner at the following rate, as selected by such Investor Limited Partner in its subscription documents:

For Investor Limited Partners admitted at, or within 60 days of, the Initial Closing:

- During the Commitment Period, 1.75% of its Base Amount, and after the Commitment Period, 1.5% of its Base Amount.

OR

- During the Commitment Period, 1.4% of its Commitment, and after the Commitment Period, 1.4% of its Base Amount.

For Investor Limited Partners admitted thereafter:

- During the Commitment Period, 2% of its Base Amount, and after the Commitment Period, 1.5% of its Base Amount.

OR

- During the Commitment Period, 1.5% of its Commitment, and after the Commitment Period, 1.5% of its Base Amount.

“Base Amount” with respect to any Investor Limited Partner means the aggregate amount of its Capital Contributions with respect to investments that have not been sold, as reduced by any permanent write-downs or write-offs.

The Management Fee will be payable quarterly in advance and will be reduced by certain fees earned by the Manager as discussed in “Director’s Fees” below.

The Management Fee will commence as of the date of the Initial Closing or the date of the first investment, as applicable, regardless of when an Investor Limited Partner is actually admitted. Investor Limited Partners participating in a subsequent closing will be assessed Management Fees retroactive to such date and will be charged interest on such amounts from such date at the prime rate. Any such amounts will be paid to the Manager or prior Investor Limited Partners, as applicable.

**Transaction and
Break-Up Fees:**

The Manager will not charge transaction, break-up, or other similar fees to Portfolio Companies in connection with Portfolio Company investments.

Director’s Fees:

Any director’s or other similar fees (whether in cash or equity) paid by a Portfolio Company to any employee of the Manager will be transferred by the applicable individual, net of taxes, to the Manager and credited against Management Fees.

**Key Person and
Other Events:**

If one Key Person ceases to be involved in the day to day operations of EnCap, the remaining Key Person shall appoint one or more successor Key Persons among the partners of EnCap at such time. If the remaining Key Person fails to make such appointment within 180 days, or if both Key Persons cease to be involved in the day to day operations of EnCap, the Partnership’s ability to make new investments during the Commitment Period will be limited (a **“Suspension Event”**), although

these limitations may be removed upon the affirmative vote of a majority in interest of the Investor Limited Partners. If as a result of any such appointment there are more than two Key Persons, a Suspension Event shall only occur if there are not at least two Key Persons involved in the day to day operations of EnCap.

In addition, upon the occurrence of certain other events specified in the Partnership Agreement, including (a) a “cause” event (as defined in the Partnership Agreement) or (b) the vote of those Investor Limited Partners whose aggregate LP Percentages equal or exceed 75%, the Partnership’s ability to make new investments during the Commitment Period will be limited, although these limitations may be removed under certain circumstances as provided in the Partnership Agreement.

Organizational and Offering Expenses:

The Partnership will bear all fees, costs, and expenses associated with the formation of the Partnership and the offering and sale of limited partnership (or other) Interests therein, including all legal, accounting, printing, mailing, and courier fees and expenses, filing fees, and travel (which may include coach and first class airfare, hotel, and meal expenses), and other start-up costs and expenses up to an amount not to exceed \$4 million. Organizational expenses in excess of this amount, if any, will be borne by the Manager directly. Any fees and costs associated with any placement agent engaged by the Partnership, the General Partner, the Manager, or their affiliates in connection with the formation of the Partnership (“**Placement Fees**”) will be paid or reimbursed by the Partnership, provided that such Placement Fees shall be borne by the Manager through a 100% offset against the Management Fee for Investor Limited Partners and a payment from the Manager for Related Limited Partners. For purposes of the foregoing, organizational expenses will not include any Placement Fees.

Other Expenses:

The Partnership will pay (and each Limited Partner will bear its allocable share of) all direct, out-of-pocket costs and expenses relating to the management, conduct and operation of the Partnership’s business (“**Operating Expenses**”), including (a) fees, costs, and expenses associated with the preparation of the Partnership’s financial statements and the reports and other information, tax returns, and Schedules K-1 and the distribution of same to the Limited Partners; (b) communication expenses, including printing and mailing and courier expenses, as well as the cost of any software or online data portal utilized in connection therewith or with reporting; (c) fees, costs, and expenses of establishing bank or custodial accounts; (d) insurance costs and expenses (including a reasonably allocable portion of premium or expenses for professional liability insurance coverage for the Partnership, including the LPAC, the General Partner, the Manager and the managers, members and partners

of the General Partner and the Manager); (e) fees, costs, and expenses incurred in connection with researching, sourcing, investigating, structuring, negotiating, acquiring, holding, restructuring, selling, disposing, or exchanging of Portfolio Companies (including fees and expenses of lawyers, accountants, consultants, brokerage or finder's fees, investment banker's fees, commitment fees, underwriting discounts or sales fees, and travel expenses (which may include hotel expenses and meal expenses) but excluding entertainment expenses, which entertainment expenses shall be borne by the General Partner or one of its affiliates and not the Partnership); (f) fees, costs, and expenses of the type described in clause (e) above incurred in connection with potential or proposed but unconsummated transactions (including fees, costs, and expenses that would have been allocable to co-investors had such proposed transaction been consummated, if the amount allocable to such co-investors is not paid by such parties); (g) fees, costs, and expenses of depository, custodial, trustee, paying agent, record-keeping, and administrative services (including those incurred in connection with the preparation and circulation of call notices and distribution notices); (h) legal, audit, and other expenses incurred in connection with the registration of the offer and sale of securities owned by the Partnership under the Securities Act, and any applicable state or foreign securities laws, and the filing of any statement, form, or report by the Partnership in connection with its status as a venture capital fund or other private fund under the Investment Advisers Act of 1940, as amended; (i) the costs and other amounts attributable to the Partnership's indemnification obligations; (j) the costs and expenses attributable to the LPAC and the conduct of its meetings or attributable to the annual meetings of the Partners; (k) any taxes, fees, or other governmental charges imposed on or assessed against the Partnership other than Investor-Related Taxes (as defined in the Partnership Agreement) withheld from distributions made to or paid by a Partner pursuant to the relevant Partnership Agreement; (l) fees and expenses incurred by any Partnership Representative (as defined below) or in connection with any tax filing, audit, investigation, settlement, or review of the Partnership; (m) fees, costs, and expenses in connection with legal or regulatory compliance (including tax compliance and reporting with U.S. federal, state, local, non-U.S., or other laws and regulations) relating to the Partnership's activities; (n) fees, costs, and expenses relating to a defaulting Partner; (o) fees, costs, and expenses incurred in connection with the purchase, sale, assignment, pledge, or transfer of a Limited Partner's interest in the Partnership or the withdrawal of a Limited Partner (except to the extent allocable to or payable by, and actually borne and paid by, the applicable purchaser or Limited Partner, assignee, pledgee, or transferee, as applicable); (p) fees, costs and expenses incurred in connection with winding up and

liquidating the Partnership or any investment vehicle formed by or for the benefit of the Partnership, including the costs and expenses of preserving and maintaining documents or other records required to be retained for tax or other legal or regulatory reasons; (q) fees, costs, and expenses incurred in connection with winding up and liquidating a Portfolio Company and subsidiaries or other affiliates thereof, including the costs and expenses of preserving and maintaining documents or other records required to be retained for tax or other legal or regulatory reasons; (r) fees, costs, and expenses incurred in connection with administering or complying with any Side Letter (as defined below); (s) fees, costs, and expenses incurred in connection with the collection of any amounts due to the Partnership from any person; (t) fees, costs, and expenses incurred in connection with any restructuring or amendments to the constituent documents of the Partnership and related entities; (u) fees, costs, and expenses relating to anti-money laundering or “know your customer” compliance, tax diligence expenses, or related matters; (v) expenses incurred in connection with any subscription facility; and (w) other extraordinary, nonrecurring expenses, including the costs and expenses of prosecuting or defending a litigation claim.

For purposes of clarity, Operating Expenses shall not include any of the following costs and expenses of the Manager or any of its affiliates (which costs and expenses shall be borne by the Manager or such affiliates for its or their own accounts): (i) the salaries, wages, and employee benefits of all officers, directors, and employees of the General Partner or an affiliate thereof, (ii) office rent, utility charges, and equipment and furniture costs and expenses, (iii) any other general, administrative, and overhead expense, and (iv) any expenses associated with registering or reporting as an investment adviser by the Manager or EnCap under the Investment Advisers Act of 1940, as amended, or any similar law.

**Warehoused
Investments:**

In certain instances, including with respect to Double Eagle, as further described in Section VIII – “Selected Transaction Summaries” of the Memorandum, EnCap Energy Capital Fund XI, L.P., a Delaware limited partnership (“**Fund XI**”), may commit capital to a prospective Portfolio Company in an amount equal to its contemplated commitment plus the contemplated commitment of the Partnership; in such event, promptly after the initial closing of the Partnership, Fund XI will assign that portion of its interest in such Portfolio Company attributable to the Partnership’s contemplated commitment and the Partnership will reimburse Fund XI for any capital actually contributed to such Portfolio Company by Fund XI and any related fees and expenses incurred by Fund XI, in each case attributable to such assigned interest, plus interest on such amount from

the date of such contribution through the date of assignment at a rate of 8% per annum.

Exclusivity:

During the Commitment Period, neither the General Partner nor any of its affiliates will invest outside of the Partnership in any investments that fall within the Partnership's investment focus, except for (a) any investments, securities, or other assets currently held by an existing fund and any follow-on investments thereto; (b) any investments, securities, or other assets made or acquired by an existing or future fund; (c) any investments, securities, or other assets received in exchange for, as a result of a merger, consolidation, or similar transaction involving, or as distributions from partnerships or other entities holding investments, securities or other assets referred to in (a) and (b) above; (d) any personal investments made by the Principals and other affiliates of the General Partner (i) in publicly traded securities or (ii) in passive investments not to exceed \$2.5 million per investment; or (e) any investments approved by the LPAC.

Successor Fund:

Unless consented to by Investor Limited Partners whose LP Percentages equal or exceed 66 ⅔%, the General Partner, the Manager, EnCap, and their respective affiliates will not form or acquire a new investment fund for the same or substantially similar purpose to that contemplated hereunder and cause such fund to commence investment activities (a **"Successor Fund"**) until the earlier of (a) the fifth anniversary of the date of the Final Closing or (b) such time as at least 75% of Commitments have been invested, committed or reserved (including amounts reserved for reasonably anticipated expenses of the Partnership and Management Fees).

For all purposes hereof, a Successor Fund will not be deemed to include any successor fund to EnCap Energy Transition Fund II, L.P., EnCap Flatrock Midstream Fund IV, L.P., any other fund hereafter established by EnCap whose investment objective is substantially dissimilar to that of the Partnership, or any co-investment fund or continuation fund established by EnCap.

**Feeder Funds and
Parallel
Partnerships:**

In order to facilitate investment by tax-exempt, non-U.S., and certain other investors, the General Partner may create one or more feeder entities or parallel investment entities, the structure of which may differ from that of the Partnership, but which will generally invest proportionately in all Partnership transactions.

See Section XI – "Legal & Tax Matters – United States Federal Income Tax Considerations – Structure and Tax Considerations of the UBTI/CAI Feeder Fund" and Section XI – "Legal & Tax Matters – United States Federal Income Tax Considerations – Structure and Tax Considerations

of the ECI Feeder Fund” of the Memorandum for further discussion regarding such feeder structures.

**Alternative
Investment
Vehicles:**

If the General Partner determines that for legal, tax, or regulatory reasons it is in the best interests of the Partnership or some or all of the Limited Partners that some or all of the Limited Partners participate in a Portfolio Company through an alternative investment structure, the General Partner may (a) structure the investment in such Portfolio Company outside of the Partnership by requiring each such Limited Partner to make such investment through a limited partnership or other vehicles and entities that are appropriate under the circumstances (each, an “**Alternative Investment Vehicle**”) and (b) in the case of a Portfolio Company already owned by the Partnership (or portion thereof), transfer all or a portion of such Portfolio Company to an Alternative Investment Vehicle. If the General Partner utilizes an Alternative Investment Vehicle, each Limited Partner that is to participate in such Portfolio Company through such Alternative Investment Vehicle shall be admitted as a partner, member, or other equity holder of such Alternative Investment Vehicle and shall make Capital Contributions directly to the Alternative Investment Vehicle to the same extent, for the same purposes and on the same terms and conditions as such Limited Partner is required to make Capital Contributions to the Partnership, and such Capital Contributions shall reduce the unpaid Commitment of such Limited Partner to the same extent as if Capital Contributions were made to the Partnership with respect thereto. To the maximum extent practicable, subject to variation for tax implications arising based on individual circumstances of Limited Partners, each Limited Partner that participates in a Portfolio Company through an Alternative Investment Vehicle shall have the same economic interest in all material respects in such Portfolio Company as such Limited Partner would have had if the Partnership were the sole investor in such Portfolio Company, and the provisions of the Partnership Agreement regarding distributions, allocations of net profit and net loss, and the clawback shall be applied as if the Partnership were the sole investor in such Portfolio Company. The respective interests of the Partnership and any Alternative Investment Vehicle in any Portfolio Company (and their respective shares of any investment expenses or indemnification obligations) shall generally be in proportion to the capital committed by each to such Portfolio Company. Any Alternative Investment Vehicle shall bear all costs and expenses relating to its formation, operation, and liquidation.

**Additional Co-
Investment**

The General Partner in its sole discretion may, but shall not be obligated to, offer co-investment opportunities to any or all of the Limited Partners or their designated affiliates on terms identical or substantially similar to, and no more favorable than (in any material respect), those offered to the

Opportunities and Criteria:	Partnership. Any co-investment opportunity may, if the General Partner so requires, be made through one or more investment vehicles controlled and managed by the General Partner or its affiliate (and, for purposes of clarity, any such investment vehicle shall not be considered an Alternative Investment Vehicle for purposes hereof).
Reports to Limited Partners:	The Partnership will furnish audited financial statements annually to all Limited Partners. On a quarterly basis, each Limited Partner will be furnished with unaudited financial statements of the Partnership. Limited Partners also will receive descriptive investment information for each of the Portfolio Companies on both an annual and quarterly basis.
Limited Partner Meetings:	The Partnership will hold annual meetings at which it will offer the Limited Partners the opportunity to review and discuss the Partnership's investment activities.
Tax Considerations:	The Partnership will be treated as a partnership for federal income tax purposes, and each Partner will be taxable on its share of Partnership income, regardless of the amount of distributions to the Partners. However, tax-exempt Limited Partners will not be subject to tax on their share of Partnership income, except to the extent such income constitutes "unrelated business taxable income" ("UBTI"). In view of past experience and reasonably anticipated Fund XII activities and investment structures, it is expected that a majority of the Fund XII investments will generate income that, if allocable to a tax-exempt Limited Partner, will be UBTI, although it is also expected that upon an exit from these investments a substantial portion of any gains will qualify for an exemption from UBTI treatment. Accordingly, for those tax-exempt Limited Partners that want to avoid UBTI in its entirety, EnCap expects to offer to potential tax-exempt investors the opportunity to invest in a separate partnership that will utilize one or more "blocker" corporations to shield the tax-exempt investors from UBTI, although any corporation itself will be taxable. The Partnership also will make investments that will result in effectively connected income ("ECI") by non-U.S. Limited Partners and commercial activity income ("CAI") by Sovereign Wealth Funds. EnCap expects to offer non-U.S. investors, including Sovereign Wealth Funds, the opportunity to invest in separate partnerships that may act as "feeders" to the Partnership. For non-U.S. Limited Partners that want to avoid ECI or CAI or that cannot take advantage of a U.S. tax

treaty, one of these separate partnerships will utilize one or more “blocker” corporations to shield the non-U.S. investors from ECI or CAI.

Tax-exempt and non-U.S. investors should note that any Blocker Corporation formed will generally be subject to U.S. federal and applicable state and local income tax.

See Section XI – “Legal & Tax Matters – United States Federal Income Tax Considerations – Structure and Tax Considerations of the UBTI/CAI Feeder Fund” and Section XI – “Legal & Tax Matters – United States Federal Income Tax Considerations – Structure and Tax Considerations of the ECI Feeder Fund” of the Memorandum for further discussion regarding such feeder structures. The taxation of partners and partnerships is extremely complex. Prospective investors should consult their own tax advisors with specific reference to their own situation as it relates to an investment in the Partnership.

FATCA:

In order to comply with any applicable certification, documentation, information or other reporting requirements, including Sections 1471 through 1474 of the Internal Revenue Code of 1986, as amended and the Treasury Regulations and administrative guidance issued thereunder (referred to as “**FATCA**”), to avoid the imposition of a 30% U.S. withholding tax on distributions by the Partnership or on the distributive share of income, Limited Partners may be required to provide the Partnership or withholding agents with information concerning their nationality, residence, identity, or beneficial owners. In addition, if a Limited Partner receives such distributions through a foreign financial institution, the distributions may also be subject to the tax if the foreign financial institution does not comply with FATCA requirements.

ERISA:

Investors subject to the Employee Retirement Income Security Act of 1974, as amended (“**ERISA**”), should consult their own advisor as to the effect of ERISA on an investment in the Partnership. The General Partner will use its reasonable best efforts to conduct the affairs and operations of the Partnership in such a manner that the Partnership’s assets will not be treated as plan assets of any “benefit plan investor” under ERISA (as defined therein).

BHCA:

For any determination to be made based upon a specified proportion or percentage of Commitments or Capital Contributions or any other required vote, that portion of the Commitments or Capital Contributions of any investor subject to the U.S. Bank Holding Company Act of 1956, as amended, and the rules and regulations promulgated thereunder BHCA which exceeds 4.99% of the total Commitments or Capital Contributions shall be disregarded. For purposes of any such determination, the portion of the Commitments or Capital Contributions exceeding 4.99% of the

total Commitments or Capital Contributions shall be excluded from both the numerator and the denominator in calculating such proportion or percentage.

**Investor
Suitability:**

Interests may be purchased only by certain eligible investors who are “qualified purchasers” for purposes of Section 3(c)(7) of the Investment Company Act of 1940, as amended, and “accredited investors” as defined in Regulation D under the Securities Act of 1933, as amended. In addition, the Interests described herein are not being registered under the Securities Act of 1933, as amended, and must be acquired for investment purposes only and not with a view to the distribution thereof.

**Transfers and
Withdrawals:**

Interests will not be assignable or transferable without the prior written consent of the General Partner, which the General Partner may grant or withhold in its sole discretion. Any such assignment or transfer will be subject to the further terms and conditions specified in the Partnership Agreement and will be effected at the expense of the transferor Limited Partner. Further, a Limited Partner may not withdraw any amount from the Partnership, except that a Limited Partner subject to ERISA will be permitted to withdraw from the Partnership, and to receive a distribution in connection therewith, in order to avoid a violation of, or other breach of a fiduciary duty under, ERISA.

**Excuse and
Exclusion:**

A Limited Partner will not be required to contribute capital toward a Portfolio Company if participating in such Portfolio Company would have a material adverse effect on such Limited Partner. A Limited Partner may be excluded from contributing capital toward a Portfolio Company if the General Partner elects to exclude such Limited Partner based on a determination that such Limited Partner’s participation in such Portfolio Company would have a material adverse effect on the Partnership, including a material tax, regulatory or other burden on the Partnership or any other Partner.

Indemnification:

As more fully described in the Partnership Agreement, the Partnership will indemnify the General Partner, the Manager, and their agents, affiliates, and personnel against claims, liabilities, costs, and expenses, including legal fees, incurred by them by reason of their activities on behalf of the Partnership or the Partners.

Confidentiality:

Subject to the exceptions set forth in the Partnership Agreement, Limited Partners will be required to keep confidential all information relating to the Partnership and its affairs.

Amendments:

The General Partner may effect amendments to the Partnership Agreement by the affirmative vote or written consent those Investor

Limited Partners whose aggregate LP Percentages equal or exceed 66 ⅔%; provided, that:

- (a) the General Partner may effect any amendment that is (i) of an inconsequential nature, (ii) necessary to comply with applicable law or regulation, (iii) necessary in the opinion of counsel to the Partnership to ensure that the Partnership will not be treated as an association taxable as a corporation for U.S. federal income tax purposes, or (iv) required or contemplated by the Partnership Agreement, without the consent of any Limited Partner, except that any such amendment that would adversely affect any Limited Partner may only be made with the approval of such adversely affected Limited Partner;
- (b) the General Partner may effect any amendment to comply with or administer in an equitable manner the provisions of the Bipartisan Budget Act (as defined in the Partnership Agreement) and any Treasury Regulations or administrative pronouncements promulgated thereunder without the consent of any Limited Partner;
- (c) the General Partner may effect any amendment (i) to the extent the taxation of the right to receive Carried Interest Distributions is adversely affected by any change in law or (ii) to comply with or administer the provisions of Section 1061 and any Treasury Regulations or other administrative pronouncements promulgated thereunder, in each case, as determined by the General Partner, in its sole discretion, without the consent of any Limited Partner, provided that such amendment does not adversely affect the interest of any Limited Partner;
- (d) the General Partner may effect any amendment in connection with a subsequent closing that is not adverse to the Limited Partners without the consent of any Limited Partner unless 20% of the Limited Partners object to such amendment;
- (e) the General Partner may not effect any amendment which amends or modifies in any material respect (i) the Partnership's business purpose provision, (ii) the definition of Management Fees, (iii) the definition of Operating Expenses, (iv) the definition of Commitment Period, (v) the General Partner's standard of care provisions, (vi) the indemnification provisions, (vii) the LPAC provisions, or (viii) the clawback provisions, without the consent of those Investor Limited Partners whose aggregate LP Percentages equal or exceed 75%;
- (f) the General Partner may not effect any amendment which increases the obligation of a Limited Partner to make Capital Contributions to the Partnership, reduces any Limited Partner's share of distributions,

increases a Limited Partner's share of losses or increases the Management Fee payable by such Limited Partner without the written approval of such Limited Partner; and

- (g) the General Partner may not effect any amendment to any provision of the Partnership Agreement which establishes a percentage of Limited Partner required to take an action in such a way to reduce such voting percentage without the written consent of those Investor Limited Partners whose aggregate LP Percentages constitute not less than the Investor Limited Partner voting requirements sought to be reduced.

Side Letters: The General Partner may enter into written agreements with one or more Limited Partners affecting the terms described herein (each, a “**Side Letter**”) without offering such terms to any other Limited Partner; provided that, in the event a Side Letter grants terms more favorable regarding the Management Fees or Carried Interest to a Limited Partner, the General Partner shall offer such terms to all Limited Partners with an equal or greater Commitment.

Independent Legal Counsel: Vinson & Elkins L.L.P. has been retained by the General Partner as legal counsel in connection with the organization of the Partnership. Vinson & Elkins L.L.P. also acts as counsel to EnCap and certain of its affiliates in connection with other matters. In connection with the offering of Interests in the Partnership and subsequent advice to the Partnership, the General Partner, EnCap and their affiliates, and Vinson & Elkins L.L.P. will not be representing the Limited Partners. No independent counsel has been retained to represent the Limited Partners.

Accountants: PricewaterhouseCoopers.

Risk Factors: **An investment in the Partnership involves a high degree of financial risk that could result in a loss of all or a part of a Limited Partner's Commitment and should be considered only by sophisticated investors who are able to meet the drawdown obligations detailed in the Partnership Agreement and bear the risks associated with investment for an indefinite period of time. See Section X – “Risk Factors” of the Memorandum for a more detailed discussion of the risk factors.**

IV. REFERENCES

References - Limited Partners			
Limited Partners	Name	Telephone	E-Mail
Cliffwater	Mark Williams	-	mwilliams@cliffwater.com
Torrey Cove / Aksia	Nic Diloretta	-	nic.diloretta@aksia.com
Jasper Ridge Partners	Brian Danielewicz	-	bdanielewicz@jasperridge.com
Florida State Board of Administration	Clark Griffith	-	clark.griffith@sbafla.com
Alaska Permanent Fund	Allen Waldrop	-	awaldrop@apfc.org

References - Portfolio Companies			
Portfolio Companies	Name	Telephone	E-Mail
Grayson Mill Energy II	Eric Bayes	832-271-7575	ebayes@graysonmillenergy.com
Novo Oil & Gas	Tim Fahler	405-286-3133	tfahler@novooil.com
XCL Resources	Gray Lisenby	713-714-8136	gray@xclresources.com
Grenadier Energy Partners III	Patrick Noyes	281-907-4120	pnoyes@grenadierenergy.com
Enduring Resources IV	Barth Whitham	303-350-5101	bwhitham@enduringresources.com
Black Swan Oil & Gas	Ian Yingling	405-726-8897	ian.yingling@blackswanog.com
Piedra Energy III / IV	Robert Beecherl	432-687-2891	rbeecherl@piedraltd.com
Piedra Energy III / IV	Chip Smith	432-682-2772	csmith@piedralc.com

References - Commercial Bankers			
Commercial Bank	Name	Telephone	E-Mail
J.P.Morgan	Greg Determann	713-216-6023	greg.determann@jpmorgan.com
Bank of Oklahoma	Paul Edmonds	713-289-5879	pauljedmonds@bokf.com
Wells Fargo	Kyle Hranicky	713-319-1980	kyle.hranicky@wellsfargo.com

References - Investment Bankers			
Investment Bank	Name	Telephone	E-Mail
Jefferies	Greg Chitty	281-774-2021	gchitty@jefferies.com
JP Morgan	Pascall Tosch	713-216-4395	paschall.tosch@jpmorgan.com
JP Morgan	Jonathan Cox	713-216-6604	jonathan.cox@jpmorgan.com

References - Accountants			
Accounting Firm	Name	Telephone	E-Mail
PricewaterhouseCoopers	Chad Tallant	713-356-5392	chad.tallant@pwc.com

References - Attorneys			
Attorneys	Name	Telephone	E-Mail
Vinson & Elkins	Keith Fullenweider	713-758-3838	kfullenweider@velaw.com
Vinson & Elkins	Matthew Strock	713-758-3452	mstrock@velaw.com
Vinson & Elkins	Bryan Loocke	713-758-3281	bloocke@velaw.com
Vinson & Elkins	Robert Seber	212-237-0132	rseber@velaw.com
Vinson & Elkins	Carson Dimick	214-220-7926	cdimick@velaw.com

V. PERFORMANCE METRIC & VALUATION DISCLOSURES

Below please find important information regarding how EnCap calculated certain metrics that appear throughout the Memorandum along with other disclosures.

Target Returns

Target gross IRR was calculated using the target gross ROI of 2.0x and modeling timing of cash flows based on historical experience.

Target net ROI and target net IRR were calculated using target gross ROI and target gross IRR, reduced for Management Fees, Carried Interest, and fund expenses.

- Management Fees were calculated assuming each Investor Limited Partner opted to pay 2% of its Base Amount during the Commitment Period and 1.5% of its Base Amount after the Commitment Period.
- No assumption was made regarding the timing of the Investor Limited Partners' subscription and therefore whether the Investor Limited Partners would receive the Management Fee break associated with subscribing at or within 60 days of the initial closing.

Target returns do not take into account the impact of market and economic risks. Target returns are subject to risks and uncertainties that may change at any time, and, therefore, actual results may differ materially from those targeted. In no circumstances should the target returns be regarded as a reflection of any historical results or a representation, warranty, or prediction that the Partnership will achieve or is likely to achieve any particular result or that investors will be able to avoid losses, including total losses of their investment. While the Firm believes that its assumptions are reasonable, it is very difficult to predict the impact of known factors and anticipate all factors that could affect actual results.

Realized and Unrealized Proceeds

Realized proceeds represent the sum of gross proceeds to a fund generated from dispositions and distributions of cash, dividends, and interest.

Information regarding unrealized proceeds is estimated, unaudited, and subject to change. The values of unrealized investments are estimated as of period end, inherently uncertain, and subject to change. EnCap's evaluation of an investment is based, in part, on EnCap's internal analysis and evaluation of the investment and on numerous investment-specific assumptions that may not be consistent with future market conditions and that may significantly and negatively affect actual investment results. Consequently, the ultimate realized returns on these unrealized investments may vary materially and negatively from the amounts indicated in the Memorandum.

Valuation of the EnCap Upstream Funds

Unrealized investments are reported based on valuations in accordance with ASC 820 requirements. Investments held during the initial investment period are valued at cost (which is considered market value) until such time as there is a measurable change in fair market value. After the initial investment period, in accordance with industry standards for valuing oil and gas properties, EnCap values oil and gas property interests using a risk-adjusted discounted cash flow model. This methodology aggregates all future cash flows attributable to EnCap's ownership in

the property or company to be generated from the production of proved oil and gas reserves, as estimated by an independent, third-party engineering firm in a Reserve Report (as defined below), and discounts them using a weighted average cost of capital (typically, 10%) to yield a present value, assuming unescalated oil and gas prices based on the period end NYMEX quoted strip prices. Prior to discounting the future cash flows, PDNP (as defined below) cash flows are generally risk-adjusted by 20%, and PUD (as defined below) cash flows are generally risk-adjusted by 40%; PDP (as defined below) cash flows are generally unrisked. Oil and gas reserves may be further adjusted to values supported by recent public or private transactions of similar oil and gas properties. Unproved acreage and other assets and liabilities are valued at recent public or private transactions of similar assets. Mineral interests are valued using a combination of precedent transactions, discounted cash flows and a cash flow multiple approach, taking into consideration market and asset specific factors including life cycle or maturity of the asset, projected growth profile, precedent transactions, and comparable public market trading multiples. Publicly quoted securities are valued based on the quoted period-end closing price. Debt or equity securities that are freely tradable on a recognized investment exchange (or convertible thereto) are valued at the last reported sales price for the security as of the valuation date. Preferred equity investments are generally valued using the “if converted” method. However, if the underlying security is trading below the applicable conversion price, the valuation is held at such conversion price.

As used above:

- Proved Developed Non-Producing Reserves or “**PDNP**” means proved developed reserves that can be expected to be recovered from zones behind casing in existing wells, or from zones that are shut-in for market conditions, pipeline connections or mechanical reasons and are capable of production, but the timing is uncertain.
- Proved Developed Producing Reserves or “**PDP**” means proved developed reserves that are expected to be recovered from completion intervals currently open in existing wells and able to produce to market. They are reserves that can be recovered through wells with existing equipment and operating methods. Additional oil and natural gas to be obtained through the application of fluid injection or other improved recovery techniques for supplementing the forces and mechanisms of primary recovery will be included as “proved developed reserves” only after the improved recovery project is in operation.
- Proved Undeveloped Reserves or “**PUDs**” means reserves that are expected to be recovered from new wells on undrilled acreage, or from existing wells where a relatively major expenditure is required for recompletion. Reserves on undrilled acreage shall be limited to those drilling units offsetting productive units that are reasonably certain of production when drilled. Proved reserves for other undrilled units can be claimed only where it can be demonstrated with certainty that there is continuity of production from the existing productive formation. Under no circumstances should estimates for proved undeveloped reserves be attributable to any acreage for which an application of fluid injection or other improved recovery technique is contemplated, unless such techniques have proved effective by actual tests in the area and in the same reservoir.
- “**Reserve Report**”: Reservoir engineers develop a Reserve Report for each existing well, whether producing or shut-in, and for each proved undeveloped well location. The reserve report takes into account: (i) current rate of production (or estimated initial rate of production of a proved undeveloped location); (ii) the rate at which production, assuming no further

reserve additions, is expected to decline; (iii) future production costs unique to each well; (iv) development costs associated with the proved undeveloped reserves; and (v) any production taxes that must be paid.

Explanation of Historical Returns – Cumulative Fund Level Returns

Gross ROI and gross IRR were calculated using capital invested, realized proceeds, and unrealized value from any parallel funds and co-invest vehicles raised concurrently with such fund. Gross IRRs are calculated on the basis of the actual timing of investment inflows and outflows, aggregated monthly for all parallel funds and co-invest vehicles raised concurrently with the respective institutional fundraise, if applicable. Gross IRRs are based on cash flows before deductions for management fees, carry, and fund expenses. Gross ROIs are calculated as total realized proceeds and unrealized values (if applicable) before deductions for management fees, carry, and fund expenses, divided by the total capital invested. Total cumulative gross returns are calculated using a weighted average of capital invested.

Net ROI and net IRR were calculated using gross ROI and gross IRR, reduced for management fees, carry, and fund expenses, excluding the effects of tax withholding and structuring. Net IRR and net ROI reflect returns of the main fund. If a limited partner elected into a parallel or feeder fund vehicle, the net returns are lower than those listed above. Total cumulative net returns are calculated using a weighted average of capital invested.

Explanation of Historical Returns – Realized vs. Unrealized Returns by Fund

Gross ROI and gross IRR were calculated for realized and unrealized investments based on whether the cash flows were attributable to investments categorized as realized or unrealized.

Management fees, carry, and fund expenses are incurred at the fund level and are not specifically attributable to specific investments or, therefore, to the subtotals for realized and unrealized investments. As a result, net ROI was determined by allocating management fees, carry, and fund expenses to realized and unrealized categories pro rata based on invested capital. Net IRR for realized and unrealized investments was calculated using the cash flows allocated for net ROI and using timing based on EnCap's historical pace of capital calls for expenses and fees. Carry, which is assessed using a European waterfall model, was treated as a reduction of the unrealized value for unrealized investments and as paid on the period-end for realized investments.

Additional Information

Past performance is not indicative of future results. There can be no assurances that the Partnership will achieve its objective or avoid losses. Market conditions and legal and contractual restrictions may limit the liquidity of investments. Accordingly, actual realized return on investment may differ materially from the values indicated herein.